

A Study
On
“Credit Risk Management in Finnable Credit Pvt Ltd”

Submitted
In partial fulfillment of the requirements for the award of the degree
of

Master of Business Administration
(Jawaharlal Nehru Technological University-Kakinada)

By

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Certificate

This is to certify that the project report on “**A Study on Credit Risk Management in Finnable Credit Pvt Ltd**” submitted by **Mr. Kondeti Surendra Babu** is a bonafide work carried out by him in partial fulfillment of the award of Degree of **Master of Business Administration** by Jawaharlal Nehru Technological University, Kakinada. The project work is original and never has been a part of any other publication or award of any degree.

Dr. Y.V. NAGA KUMARI
Asst. Professor & Mentor (i/c)
Guide

Dr. G. KAMAL
Head of the Department



02nd July 2026

TO WHOMSOEVER IT MAY CONCERN

This is to certify that **Mr. KONDETI SURENDRA BABU (24481E0034)**, a final-year MBA student from **Seshadri Rao Gudlavalleru Engineering College, Gudlavalleru**, has been employed with **Finnable Credit Private Limited** as a **Management Trainee – Branch Manager** from **08th April 2026 to Present**.

During his tenure with the organization, he is handling the overall branch operations and leading the team to achieve business targets. His key responsibilities include overseeing day-to-day branch activities, driving business growth, sourcing and onboarding customers, cross-selling financial products, ensuring quality documentation, monitoring collections, managing customer relationships, maintaining channel partnerships, and ensuring high levels of customer satisfaction.

He has demonstrated strong leadership, excellent communication skills, problem-solving abilities, and a result-oriented approach in driving branch performance and business growth.

His performance and conduct during the period of employment have been satisfactory.

We wish him all the best in his future academic and professional endeavors.

For Finnable Credit Private Limited,
AVP Human Resources
Authorized Signatory
Finnable Credit Private Limited



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Declaration

I hereby declare that the project report entitled “**A Study on Credit Risk Management in Finnable Credit Pvt Ltd**” is a bonafide work carried out by me and never has been a part of any other publication or award of any degree.

Place: Gudlavalleru

Date:

KONDETI. SURENDRA BABU

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KONDETI SURENDRA BABU
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CHAPTER 1

1.1. INTRODUCTION

Credit risk management is one of the most vital functions of financial institutions, as it involves identifying, assessing, monitoring, and controlling the possibility that borrowers may fail to repay their loans as agreed, and effective management of this risk helps institutions reduce defaults, improve profitability, maintain financial stability, and support sustainable growth; in the rapidly expanding lending industry, it has become essential for financial institutions to adopt strong credit evaluation and monitoring systems to minimize non-performing assets, while carefully considering factors such as income, employment stability, credit history, repayment capacity, and existing financial obligations to determine the creditworthiness of borrowers and make informed lending decisions that protect their financial interests; this study, titled “A Study on Credit Risk Management at Finnacle Credit Pvt. Ltd.,” examines the company’s credit risk management and evaluates customer perceptions regarding the loan approval process, credit assessment, repayment behaviour, EMI management, and overall satisfaction, while also identifying the major factors influencing loan repayment and highlighting areas where the company’s credit risk management system can be strengthened; the research is based on primary data collected through a structured questionnaire from customers of Finnacle Credit Pvt. Ltd., and the findings of this study are expected to provide a clear understanding of the effectiveness of the company’s current credit risk management practices along with useful suggestions for improving loan quality, reducing credit risk, and enhancing customer satisfaction.

Credit Risk Analysis:

Credit risk may be defined as the potential that a borrower or counter-party will fail to meet their obligations in accordance with agreed terms. In short, credit risk is the probability of loss from a credit transaction. Credit risk management is the assessment of risk that comes in an investment. NBFCs have been playing a complementary role to the other financial institutions including banks in meeting the funding needs of the economy. NBFCs account for 14.6% assets of the total financial system. Non-banking finance companies (NBFCs) are at a higher risk of defaults than traditional banks, due to their higher exposure to non-traditional segments of the market. Therefore, there is a need to study the techniques of credit risk management employed in NBFCs. Credit risk analysis extends beyond credit analysis and is the process that achieves a lender’s goals by weighing the costs and benefits of taking on risk. By balancing the costs and benefits of granting credit, lenders measure, analyse and manage risks their business is willing to accept. The creditworthiness of the borrower, derived from the credit analysis process, is not the only risk lenders face. When granting credit, lenders also consider potential losses from non-performance, such as missed payments and potential bad debt. With such risks come costs, so lenders weigh them against anticipated benefits such as risk-adjusted return on capital (RAROC).

1.2. NEED FOR THE STUDY

The need for the study on credit risk management is undertaken to understand how the company identifies, evaluates, and manages the risk associated with lending. Effective credit risk management helps financial institutions reduce loan defaults, improve asset quality, and maintain profitability. This study also aims to analyse customers' repayment behaviour, the effectiveness of the credit assessment process, and the factors that influence loan repayment. The findings of the study will help the company strengthen its credit policies and improve customer satisfaction. The questionnaire examines areas such as income verification, credit history, EMI repayment, loan restructuring, and customer opinions on the company's credit risk.

1.3. OBJECTIVES OF THE STUDY

- To study the credit risk management in Finnable Credit Pvt. Ltd Tirupati.
- To understand the loan approval and credit assessment process.
- To analyse customers' repayment behaviour and EMI payment patterns.
- To identify the factors responsible for delayed loan repayments.
- To evaluate customer satisfaction with the company's credit risk management practices.
- To suggest measures for improving credit risk management and minimizing loan defaults.

1.4. SCOPE OF THE STUDY

The scope of preparation of the report is to focus on its credit risk management system in finnable credit pvt ltd. It covers borrowers who have availed different types of loans such as personal loans, business loans, education loans, and loans against property. The study includes customer opinions regarding loan approval, repayment, income verification, credit history verification, EMI affordability, loan restructuring, and overall satisfaction. The results will help understand the effectiveness of the company's credit risk management and identify areas for improvement.

1.5. METHODOLOGY OF STUDY

Research methodology is mainly needed for the purpose of framing the research process and the designs and tools that are to be used for the project purpose. Research methodology helps to find the credit risk management at Finnacle. This time research methodology is framed for the purpose of finding the various credit risk analysis by using financial tools.

This section answers two main questions:

- How was the data collected or generated?
- How was it analyzed?

Research Design

Descriptive research design.

Sources Of Data

1.Primary Data:

The questionnaire consisted of multiple-choice and close-ended questions related to demographic details, employment status, monthly income, credit history, loan repayment behaviour, and factors affecting credit risk. The questionnaire was shared with selected respondents, and their responses were recorded for analysis. The collected responses were carefully organized and analyzed to identify patterns and trends related to credit risk management. Various statistical tools such as percentage analysis, tabular representation, bar graphs, and pie charts were used to interpret the data effectively. The findings obtained from the analysis helped in understanding the repayment capacity of borrowers, identifying potential risk factors, and evaluating the effectiveness of existing credit risk management in the company. Collected through a structured questionnaire distributed to customers of Finnacle Credit Pvt. Ltd.

2. Period Of Study:

The period of study is to determine the research process carried out for 2 months (May-June).

3. Sampling Method: Convenience sampling.

4. Sample Size: 73 respondents.

5. Data Analysis Tools: Percentage analysis, tables, charts, and graphical representation using MS Excel.

1.6. LIMITATIONS OF THE STUDY

- The study is confined only to Finnable Credit Pvt. Ltd., Tirupati.
- The sample size is limited and may not represent all customers.
- The study is based on respondents' opinions, which may involve personal bias.
- Time constraints limited the scope of data collection.
- Some respondents may not have provided complete or accurate information.

CHAPTER-2

INDUSTRY PROFILE

2.1 MEANING OF NBFCS

The Non-Banking Financial Company (NBFC) sector is one of the most important components of the Indian financial system. NBFCs play a crucial role in providing financial services to individuals, businesses, and various sectors of the economy. They act as a bridge between the formal banking system and customers who may not have easy access to traditional banking services. By offering a wide range of financial products such as personal loans, business loans, vehicle loans, asset financing, and investment services, NBFCs contribute significantly to the growth and development of the economy. In recent years, the NBFC sector has experienced remarkable growth due to increasing demand for credit, rapid digitalization, and changing customer preferences. Unlike banks, NBFCs provide quicker loan processing, simplified documentation, and flexible lending solutions, making them a preferred choice for many borrowers. They are particularly effective in serving underserved and unbanked populations, thereby promoting financial inclusion across both urban and rural areas.

NBFCs are regulated by the Reserve Bank of India (RBI) under the Reserve Bank of India Act, 1934. The RBI establishes guidelines and regulations to ensure the stability, transparency, and sound functioning of these institutions. Through effective regulation and supervision, NBFCs have become reliable providers of financial services while maintaining customer trust and financial discipline. The emergence of technology-driven lending platforms and fintech collaborations has further transformed the NBFC industry. Digital KYC verification, automated credit assessment, artificial intelligence, and data analytics have improved operational efficiency and enhanced customer experience. As a result, NBFCs have become key contributors to economic growth, employment generation, and credit expansion in India. Their growing role in the financial sector highlights their importance in supporting inclusive and sustainable economic development.

2.2 DIFFERENCE BETWEEN BANK AND NBFC:

Point	Bank	NBFC
Accepts savings/current account deposits	Yes	No
Gives loans	Yes	Yes
Issues cheque book	Yes	No
Part of payment system directly	Yes	Usually no
Deposit insurance	Yes, bank deposits insured up to limit	No such protection for NBFC deposits
Regulator	RBI	RBI
Main role	Full banking services	Lending and financial services

The easiest difference:

Banks can accept normal public deposits like savings accounts. NBFCs mainly lend money but cannot operate like full banks.

Some NBFCs are allowed to accept certain fixed deposits, but they cannot accept demand deposits like savings or current accounts.

2.3 CLASSIFICATION OF NBFCs

Non-Banking Financial Companies (NBFCs) in India are classified based on the nature of their activities and liabilities. The major classifications are:

1. Asset Finance Company

These companies provide finance for physical assets such as automobiles, machinery, tractors, and industrial equipment.

2. Loan Company

Loan Companies provide loans and advances for various purposes such as personal, business, education, and consumer loans

3. Investment Company

These companies primarily engage in the acquisition of securities such as shares, bonds, debentures, and government securities.

4. Infrastructure Finance Company

IFCs provide long-term finance for infrastructure projects such as roads, power plants, ports, and telecommunications.

5. Infrastructure Debt Fund

These NBFCs facilitate long-term debt financing for completed infrastructure projects.

6. Micro Finance Institution

NBFC-MFIs provide small loans to low-income individuals and economically weaker sections, especially in rural areas.

7. Housing Finance Company

These companies provide loans for the purchase, construction, renovation, and improvement of residential properties.

8. Core Investment Company

CICs hold investments in group companies and manage investments rather than engaging in lending activities.

9. NBFC-Factor

These companies specialize in factoring services, including the purchase of receivables and management of credit risks.

10. Mortgage Guarantee Company

MGCs provide guarantees to lenders against defaults on housing loans.

2.4 LEADING NBFC COMPANIES IN INDIA

1. Bajaj Finance Limited

One of India's largest NBFCs, offering consumer loans, business loans, and investments.

2. Shriram Finance Limited

Specializes in commercial vehicle financing, MSME loans, and personal loans.

3. Mahindra Finance

Focuses on rural and semi-urban financing, vehicle loans, and SME finance.

4. Chola Mandalam Investment and Finance Company Limited

Provides vehicle finance, home loans, and business loans.

5. L&T Finance Limited

Offers rural finance, housing finance, and business loans.

6. Muthoot Finance

India's leading gold loan provider.

7. Manappuram Finance

Provides gold loans, microfinance, and vehicle finance.

8. Aditya Birla Finance Limited

Offers corporate finance, personal loans, and wealth management services.

9. Tata Capital Limited

Provides consumer finance, housing finance, and business loans.

10. Poonawalla Fincorp Limited

Offers personal loans, business loans, and professional loans.

2.5 IMPORTANCE OF NBFCS

NBFCs are very important because they provide credit where banks may not reach easily.

They help:

- small shopkeepers
- farmers
- self-employed people
- truck owners
- two-wheeler buyers
- first-time borrowers
- low-income households
- small businesses
- rural and semi-urban customers

Many people do not have strong salary slips or formal credit history. Banks may reject them. NBFCs often use alternative methods to judge repayment ability, such as business cash flow, vehicle income, gold value, local references, digital payment history, or past repayment behaviour.

So NBFCs support **financial inclusion**.

2.6 MAJOR AREAS OF NBFCS

1. Personal Loans

Providing loans for personal needs such as education, medical expenses, and weddings.

2. Business Loans

Offering financial assistance to small and medium enterprises (SMEs) and startups.

3. Vehicle Financing

Financing the purchase of cars, two-wheelers, commercial vehicles, and transport vehicles.

4. Housing Finance

Providing home loans and loans for property purchase or construction.

5. Asset Financing

Financing machinery, equipment, and other productive assets for businesses.

6. Microfinance Services

Providing small loans to low-income individuals and rural entrepreneurs.

7. Gold Loans

Offering loans against pledged gold ornaments.

8. Consumer Durable Financing

Financing the purchase of electronics, appliances, and other consumer goods.

9. Infrastructure Financing

Funding large infrastructure projects such as roads, power plants, and transportation facilities.

10. Investment and Wealth Management

Providing investment advisory, portfolio management, and wealth creation services.

2.7. BENEFITS AND RISKS OF NBFCS

Benefits of NBFCS

1. Easy Access to Credit

NBFCS provide loans to individuals and businesses who may not qualify for bank loans.

2. Quick Loan Processing

Faster approval and disbursement of loans through simplified procedures.

3. Financial Inclusion

Serve rural, semi-urban, and underserved populations.

4. Flexible Loan Products

Offer customized loan solutions based on customer needs.

5. Support for MSMEs

Provide funding to small and medium enterprises, promoting business growth and employment.

Risks of NBFCS

1. Credit Risk

Borrowers may fail to repay loans, leading to financial losses.

2. Liquidity Risk

NBFCS may face difficulty in meeting short-term financial obligations.

3. Interest Rate Risk

Changes in interest rates can affect profitability and borrowing costs.

4. Operational Risk

Losses may arise from system failures, fraud, or human errors.

5. Regulatory Risk

Changes in government or RBI regulations can impact NBFC operations and profitability.

CHAPTER – 3
COMPANY PROFILE

3.1 INTRODUCTION

Finnable Credit Private Limited is one of India's emerging digital lending and financial technology companies operating in the Non-Banking Financial Company (NBFC) sector. The company was established with the vision of making credit accessible, convenient, and affordable for salaried individuals across India. In the rapidly evolving financial services industry, many customers face challenges in obtaining loans due to lengthy documentation procedures, strict eligibility requirements, and delayed approval processes. Finnable was created to address these challenges by leveraging technology, data analytics, and digital platforms to provide quick and seamless lending solutions. The company focuses on offering personal loans through a completely digital process, allowing customers to apply, receive approval, and obtain loan disbursement within a short period. Through its customer-centric approach and technology-driven operations, Finnable has established itself as a trusted financial services provider in India's digital lending ecosystem.

Vision

The vision of Finnable Credit Private Limited is to become one of India's most trusted and customer-friendly digital lending institutions. The company aims to create a financial ecosystem where credit is available to deserving individuals without unnecessary delays or procedural complexities. Finnable seeks to empower customers by providing financial support that helps them achieve their personal and professional goals. Through continuous innovation and technological advancement, the company strives to transform the traditional lending process into a faster, more transparent, and customer-focused experience. The vision reflects the company's commitment to financial inclusion and economic growth by making credit accessible to a wider population.

Mission

Finnable's mission is centred around making young India financially capable by providing innovative, reliable, and convenient credit solutions. The company aims to simplify the borrowing process through technology-driven platforms that reduce paperwork, increase efficiency, and improve customer satisfaction. Finnable is committed to maintaining responsible lending practices while ensuring that customers receive financial assistance tailored to their needs. The company continuously invests in advanced analytics, artificial intelligence, and customer service improvements to deliver superior lending experiences. Through its mission, Finnable seeks to build long-term relationships with customers and contribute positively to India's financial development.

3.2 TURNOVER

Finnable Credit Private Limited is a rapidly growing digital lending NBFC headquartered in Bengaluru. The company has expanded its loan portfolio significantly, reaching approximately ₹3,000 crore in Assets Under Management (AUM) by 2025 and serving more than 2.7 lakh customers across India. While the exact turnover figures are not publicly disclosed in free sources, available financial reports indicate substantial growth in revenue, profitability, and assets during FY2025.

- Finnacle reached approximately **₹1,000 crore Assets Under Management (**
- It grew to about **₹1,900 crore AUM** in 2024.
- The Company reported around **₹3,000 crore AUM** in 2025. **AUM)** in 2022.
- Financial data providers indicate very strong revenue growth in FY2025 (over 400% growth), but the actual revenue amount is behind a paywall

AUM (Assets Under Management) = Total value of loans outstanding.

Company Background

Finnacle Credit Private Limited was incorporated in 2015 and is headquartered in Bengaluru, Karnataka. The company operates as a registered Non-Banking Financial Company (NBFC) and has established a strong reputation for innovation, transparency, and responsible lending practices. It primarily provides instant personal loans to salaried professionals for personal, medical, educational, travel, and emergency financial needs. Recognizing the challenges faced by individuals in obtaining timely credit through traditional banking channels, Finnacle introduced a digital lending platform supported by advanced credit assessment models and automated verification systems. This technology enables quick loan approvals while ensuring effective credit risk management and regulatory compliance. Over the years, the company has expanded its operations across several cities in India, serving thousands of customers with fast, secure, and customer-friendly financial solutions while maintaining a strong focus on operational efficiency, customer satisfaction, and responsible lending

3.3 NATURE OF BUSINESS

Finnacle operates in the financial services industry, specifically within the digital lending and consumer finance segment. The company's primary business activity involves providing unsecured personal loans to salaried professionals. Unlike traditional lending institutions that require extensive documentation and lengthy approval processes, Finnacle uses a fully digital model that enables customers to complete the loan application process online. The company evaluates loan applications using automated credit assessment systems and risk management frameworks. This approach allows for quicker decisions while maintaining the quality of the loan portfolio. Finnacle's business model combines financial expertise with technological innovation to create efficient and customer-friendly lending solutions.

Products and services

The primary product offered by Finnacle is personal loans designed to meet various customer requirements. These loans can be used for medical emergencies, higher education, home renovations, travel expenses, debt consolidation, wedding expenses, and other personal financial needs. The company offers flexible loan amounts and repayment tenures, enabling customers to select options that best suit their financial circumstances. In addition to personal loans, Finnacle provides loan-against-property solutions and other financial products through strategic partnerships. The company also offers financial tools such as EMI calculators, loan eligibility assessments, and digital customer support services. These products and services are designed to provide convenience, transparency, and accessibility to customers

A. Personal Loans

- Loan Amount: Up to ₹10 Lakhs
- Fully digital process
- Flexible repayment options
- Quick approval and disbursement
- No collateral required

B. Loan against Property (LAP)

- Loan Amount: Up to ₹35 Lakhs
- Property-backed financing
- Flexible repayment tenure

C. Credit Assessment Solutions

- AI-based risk assessment
- Automated underwriting
- Digital KYC verification

D. Financial Tools

- EMI Calculators
- Credit Score Services
- PF Tracking Services

3.4 TECHNOLOGY AND DIGITAL INNOVATION

Technology serves as the foundation of Finnable's business operations. The company employs advanced digital platforms, artificial intelligence, machine learning algorithms, and data analytics to streamline the lending process. Customers can apply for loans through the company's website or mobile application without visiting a physical branch. Digital KYC verification, automated document processing, and instant eligibility assessments significantly reduce the time required for loan approvals. The use of technology also enables Finnable to analyze large volumes of customer data and assess creditworthiness more accurately. By integrating digital innovation into its operations, the company enhances efficiency, reduces operational costs, and improves customer experiences.

Credit Evaluation Process

Credit evaluation is the process of assessing a borrower's ability and willingness to repay a loan within the agreed period, making it a crucial stage in the lending process that helps financial institutions make informed credit decisions and minimize the risk of loan defaults. At Finnable, credit evaluation involves analysing the applicant's financial profile, credit history, income level, employment stability, and repayment capacity to determine whether the applicant meets the company's lending criteria and possesses the financial capability to repay the loan on time. The process includes verifying personal and financial information, reviewing credit scores obtained from credit bureaus, assessing existing loan obligations, and analysing bank statements and income documents. Based on these factors, the credit

team evaluates the overall risk associated with the borrower and decides whether the loan application should be approved or rejected. An effective credit evaluation system enables Finnable to reduce credit risk, maintain the quality of its loan portfolio, improve recovery rates, ensure responsible lending practices, and achieve its financial objectives while providing timely credit facilities to eligible customers.

3.5 DEFAULT MANAGEMENT PRACTICES

Default management is another important aspect of Finnable's lending operations. Despite careful credit assessment, some borrowers may experience financial difficulties that affect their repayment capacity. To address this challenge, Finnable has implemented structured default management strategies. These include regular payment reminders, customer engagement initiatives, early warning systems, collection activities, and recovery procedures. The company monitors repayment patterns continuously and identifies accounts that show signs of financial stress. By intervening early, Finnable aims to prevent accounts from becoming non-performing assets (NPAs). The company also emphasizes customer communication and financial counselling to encourage timely repayments and maintain positive customer relationships.

Organizational Structure

Finnable follows a well-defined organizational structure that supports efficient decision-making and operational effectiveness. The company is led by a Board of Directors and senior management team responsible for strategic planning and corporate governance. Various departments, including Credit Risk Management, Operations, Sales and Marketing, Information Technology, Customer Service, Finance, Human Resources, Compliance, and Legal Affairs, work together to achieve organizational objectives. Each department plays a crucial role in supporting the company's growth and maintaining service quality. The organizational structure promotes accountability, coordination, and effective communication across all business functions.

Market Position and Growth

Over the years, Finnable has experienced significant growth within the Indian digital lending market. The increasing adoption of digital financial services, rising internet penetration, and growing demand for instant credit have created favourable conditions for the company's expansion. Finnable has successfully leveraged these market opportunities by offering customer-centric products and maintaining strong risk management practices. The company has expanded its customer base across multiple cities and continues to strengthen its position within the fintech and NBFC sectors. Its growth reflects the effectiveness of its business strategy and the increasing acceptance of digital lending solutions among Indian consumers.

Challenges Faced by the company

Like other financial institutions, Finnable faces several challenges in its operations. Credit risk remains a significant concern, as borrower defaults can affect profitability and financial stability. Regulatory changes introduced by the Reserve Bank of India require continuous compliance and operational adjustments. Increasing competition from banks, NBFCs, and fintech companies creates pressure on pricing and customer acquisition. Economic uncertainties, inflation, and employment fluctuations may also impact borrowers' repayment capacities. To address these challenges, Finnable continuously improves its risk management systems, technology infrastructure, and customer engagement strategies.

3.6 FUTURE PROSPECTS

The future outlook for Finnable Credit Private Limited appears promising due to the rapid growth of digital finance in India. The company plans to expand its product portfolio, strengthen technological capabilities, and increase its geographic reach. Emerging technologies such as artificial intelligence, machine learning, and big data analytics are expected to further enhance credit assessment accuracy and operational efficiency. Finnable also aims to promote financial inclusion by extending credit access to underserved customer segments. By focusing on innovation, customer satisfaction, and responsible lending, the company is well-positioned to achieve sustainable growth and become a leading player in India's digital lending industry.

Founder and co-founder

Finnable (Finnable Credit Private Limited) was founded in 2016 by a team of ex-bankers and seasoned fintech entrepreneurs: **Nitin Gupta** (CEO & Co-founder), **Viraj Tyagi** (Co-founder), and **Amit Arora** (Co-founder & Director).

The key founders and their backgrounds include

Nitin Gupta (Co-founder and CEO)

With over 20 years in financial services and analytics, Nitin has played a key role in advancing data-driven decision-making at Finnable. He began his career at a multinational bank before founding his own analytics firm, where he partnered with global banks to improve customer engagement and reduce credit risk. Nitin believes the future of financial services lies in customer focused analytics and aims to make Finnable a leader in this space. He is also an angel investor and start up mentor. He holds an MBA from IIM Bangalore.

Amit Arora Co-founder and Director

Amit brings over 21 years of global experience in retail banking, business, risk, and digital transformation. As Global Head of Digital Capabilities, he led a \$1 billion transformation initiative. Previously, as COO of Group Retail Products & Digital, he built robust risk management frameworks and successfully turned around a \$5 billion mortgage and SME portfolio in Malaysia. Under his leadership, Vietnam became the fastest-growing market for the bank. Amit is known for driving growth while effectively managing credit risk. He's completed leadership programs at Oxford and INSEAD.

CHAPTER - 4
THEORETICAL FRAMEWORK OF CREDIT RISK MANAGEMENT

4.1 INTRODUCTION

Credit risk management is one of the most important functions in the financial services industry. It refers to the process of identifying, assessing, measuring, monitoring, and controlling the risk arising from a borrower's failure to meet contractual debt obligations. Effective credit risk management enables financial institutions such as banks and Non-Banking Financial Companies (NBFCs) to minimize losses, maintain profitability, and ensure financial stability.

In recent years, the growth of digital lending and increasing credit demand have made credit risk management more critical than ever. Organizations use various tools, models, and frameworks to evaluate the creditworthiness of borrowers before approving loans. A well-designed credit risk management system helps lenders make informed decisions and reduce the possibility of loan defaults.

4.2 CONCEPT OF CREDIT RISK

Credit risk is the possibility that a borrower or counterparty will fail to meet obligations in accordance with agreed terms. It is the most significant risk faced by financial institutions because lending activities form a major portion of their business.

Credit risk may arise due to:

- Failure of borrowers to repay principal and interest.
- Deterioration in borrowers' financial condition.
- Economic downturns and market fluctuations.
- Inadequate credit assessment procedures.
- Fraudulent activities and information asymmetry.

The objective of credit risk management is to reduce potential losses while maximizing returns from lending activities.

4.3 CREDIT RISK MANAGEMENT

Credit Risk Management is a systematic process of evaluating borrowers, monitoring loans, and taking corrective actions to minimize the risk of default.

The major objectives of credit risk management are:

- Ensuring quality loan portfolios.
- Reducing non-performing assets (NPAs).
- Enhancing profitability.
- Maintaining regulatory compliance.
- Supporting sustainable business growth.

An effective credit risk management system includes:

1. Credit appraisal.
2. Risk assessment.
3. Loan approval.
4. Credit monitoring.
5. Recovery and collection management.

4.4 THE FIVE C'S THEORY OF CREDIT

The Five Cs of Credit is one of the most widely used frameworks in credit evaluation. It helps lenders assess the borrower's repayment capacity and overall creditworthiness.

1. Character

Character refers to the borrower's integrity, reputation, and willingness to repay debts.

Factors considered include:

- Credit history.
- Previous repayment behaviour.
- Employment stability.
- Personal references.

A borrower with a strong repayment record is considered less risky.

2. Capacity

Capacity measures the borrower's ability to repay the loan.

It is evaluated through:

- Income level.
- Cash flow analysis.
- Existing debt obligations.
- Debt-to-income ratio.

Higher repayment capacity indicates lower credit risk.

3. Capital

Capital represents the borrower's financial strength and net worth.

Lenders assess:

- Savings and investments.
- Net assets.
- Business capital contribution.

Borrowers with higher capital are generally considered more reliable.

4. Collateral

Collateral refers to assets pledged against the loan.

Examples include:

- Land and buildings.
- Vehicles.
- Gold

5. Conditions

Conditions refer to external factors affecting repayment ability.

These include:

- Economic conditions.
- Industry trends.
- Government regulations.
- Interest rate changes.

Lenders consider these factors before granting credit.

4.5 INFORMATION ASYMMETRY THEORY

Information Asymmetry Theory states that borrowers often possess more information about their financial condition than lenders.

This creates two major problems:

Adverse Selection

Occurs before loan approval when lenders cannot accurately distinguish between high-risk and low-risk borrowers.

Example:

A borrower may hide financial difficulties while applying for a loan.

Moral Hazard

Occurs after loan approval when borrowers engage in risky activities because the lender bears part of the risk.

Example:

A borrower may use business loan funds for personal purposes.

To reduce information asymmetry, lenders perform:

- Credit bureau checks.
- Income verification.
- Bank statement analysis.
- Employment verification.
- KYC verification.

4.6 CREDIT SCORING THEORY:

Credit scoring is a statistical method used to predict the likelihood of borrower default.

Credit scores are generated using various factors such as:

- Payment history.
- Credit utilization.
- Loan repayment records.
- Income level.
- Employment status.

Benefits of credit scoring include:

- Faster loan processing.
- Reduced human bias.
- Improved decision-making.
- Better risk classification.

Modern NBFCs increasingly use automated credit scoring systems and artificial intelligence to evaluate borrowers.

4.7 CREDIT RISK ASSESSMENT FRAMEWORK

The credit risk assessment process generally follows the following stages:

Stage 1: Loan Application

The borrower submits loan requirements and documents.

Stage 2: Data Collection

Financial and personal information is collected.

Stage 3: Verification

Income, employment, and identity details are verified.

Stage 4: Risk Analysis

Credit scoring and financial analysis are performed.

Stage 5: Decision Making

Loan approval or rejection decision is taken.

Stage 6: Monitoring

Regular monitoring of loan performance is conducted.

Stage 7: Recovery Management

Collection and recovery actions are initiated if default occurs.

4.8 ROLE OF TECHNOLOGY IN CREDIT RISK MANAGEMENT

Technology has transformed the credit evaluation process.

Modern financial institutions use:

Artificial Intelligence (AI)

AI helps predict borrower behaviour and detect risks.

Big Data Analytics

Large volumes of customer data are analyzed to identify risk patterns.

Digital KYC

Digital verification reduces fraud and speeds up loan processing.

Automated Decision Systems

Automated systems provide quick loan approval decisions.

These technologies improve efficiency and reduce operational risk.

4.9 MODERN CREDIT RISK MANAGEMENT FRAMEWORK

Modern credit risk management combines traditional credit assessment methods with advanced technologies. Financial institutions use:

- Artificial Intelligence (AI)
- Machine Learning Algorithms
- Big Data Analytics
- Digital KYC Systems
- Automated Credit Scoring Models

These technologies improve the accuracy, speed, and efficiency of credit evaluation processes.

4.10 CONCEPTUAL FRAMEWORK OF CREDIT RISK MANAGEMENT

The conceptual framework explains the relationship between factors influencing credit risk management and the effectiveness of lending decisions. It illustrates how borrower evaluation, risk assessment, and monitoring processes contribute to effective credit risk management and reduced loan defaults.

Conceptual Framework

Independent Variables:

- Borrower's Credit History
- Income and Repayment Capacity
- Employment Stability
- Collateral Security
- Credit Score
- Financial Behaviour

Credit Evaluation Process:

- KYC Verification
- Income Verification
- Credit Analysis
- Risk Assessment
- Credit Scoring

Loan Approval Decision:

- Loan Approval
- Loan Rejection
- Loan Amount Determination
- Interest Rate Determination

Credit Monitoring and Control:

- Regular Account Monitoring
- Early Warning Systems
- Recovery and Collection Procedures
- Portfolio Review

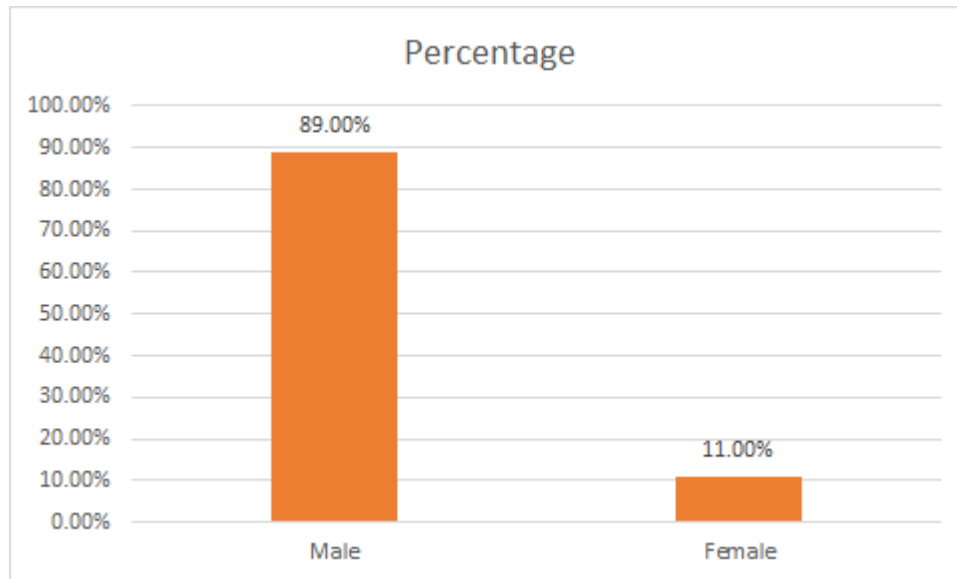
Dependent Variable:

- Reduced Loan Defaults
- Improved Asset Quality
- Lower Non-Performing Assets (NPAs)
- Enhanced Profitability

CHAPTER – 5
Data Analysis & Interpretation

1. Gender

Option	Responses	Percentage
Male	65	89.0%
Female	8	11.0%
Total	73	100

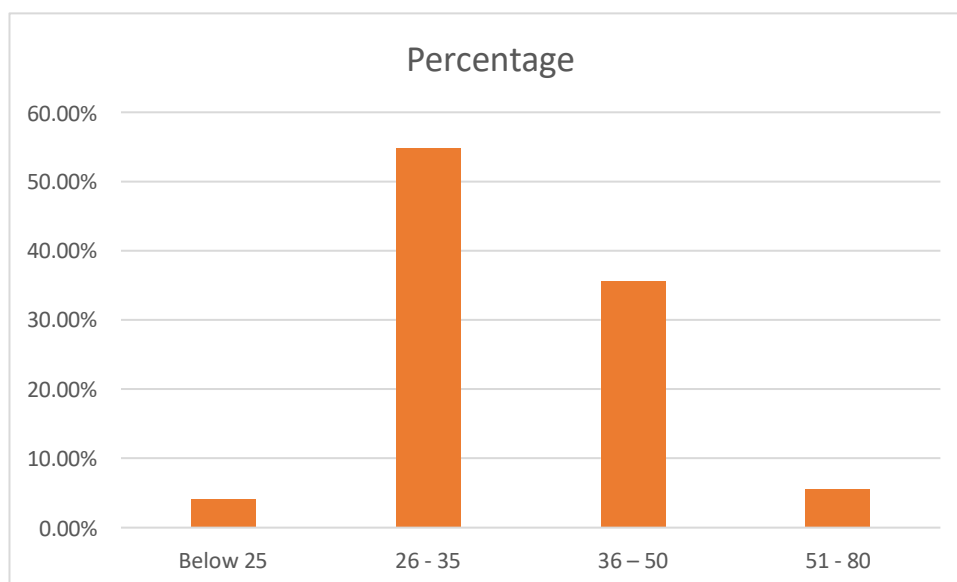


Interpretation:

The dataset contains 73 individuals. Of these, 65 (89.0%) are male and 8 (11.0%) are female. This indicates that the sample is predominantly male, with males making up nearly nine out of every ten participants. The gender distribution is therefore highly imbalanced, which may influence analyses where gender is a relevant factor.

2. Age

Option	Responses	Percentage
Below 25	3	4.1%
26 - 35	40	54.8%
36 – 50	26	35.6%
51 - 80	4	5.5%
Total	73	100

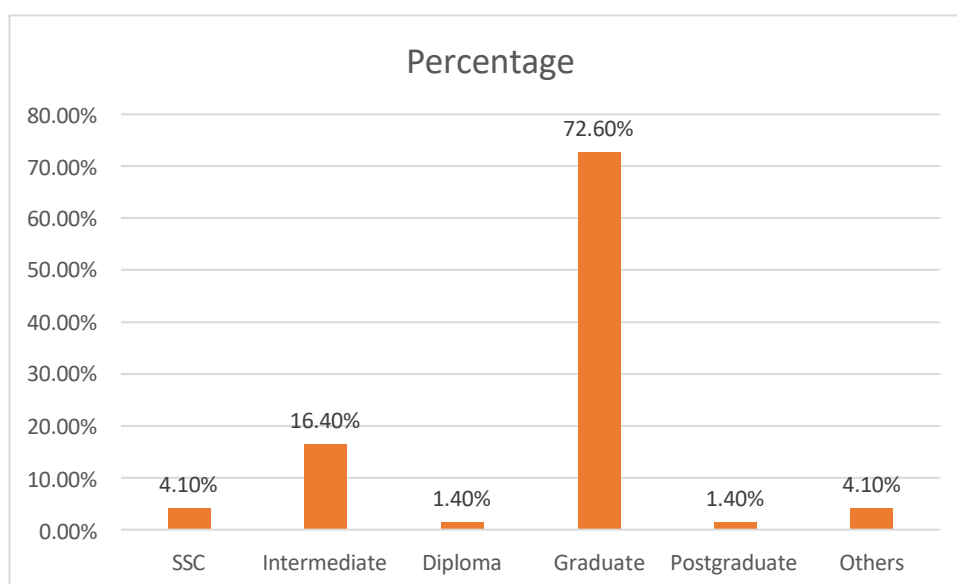


Interpretation:

The age distribution of the respondents indicates that the majority were 26–35 years old, accounting for 40 respondents (54.8%). This was followed by the 36–50 years age group, which comprised 26 respondents (35.6%). A smaller proportion of respondents were 51–80 years old (4 respondents, 5.5%), while the below 25 years age group represented the smallest segment, with 3 respondents (4.1%). Overall, the findings show that the study population was predominantly composed of young and middle-aged adults, particularly those between 26 and 50 years, who together accounted for 90.4% of the total respondents.

3. Educational Qualification

Option	Responses	Percentage
SSC	3	4.1%
Intermediate	12	16.4%
Diploma	1	1.4%
Graduate	53	72.6%
Postgraduate	1	1.4%
Others	3	4.1%
Total	73	100

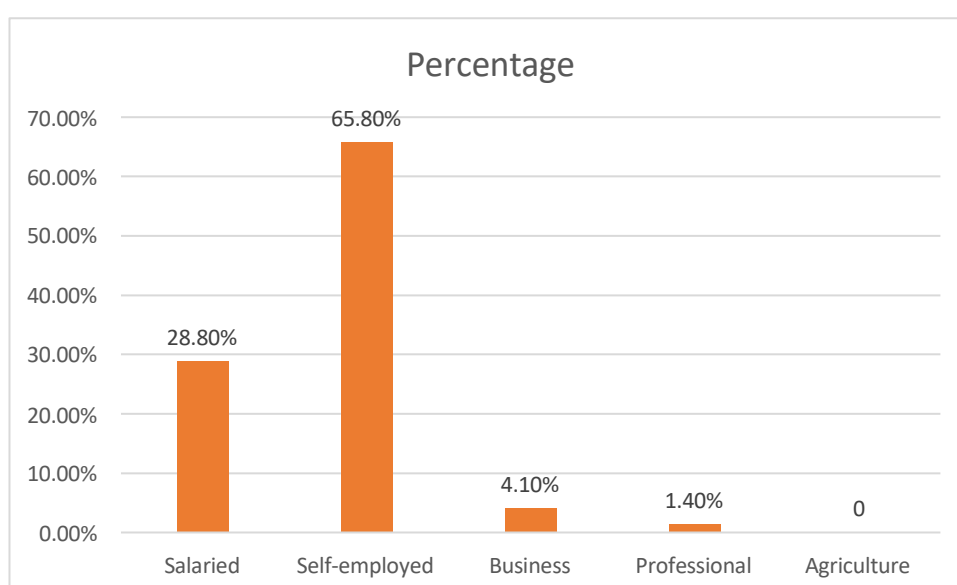


Interpretation:

The educational qualifications of the respondents indicate that the majority were graduates, with 53 respondents (72.6%), making this the most represented educational category. This was followed by respondents who had completed Intermediate, comprising 12 respondents (16.4%). A smaller proportion of respondents had completed SSC and Other qualifications, with 3 respondents (4.1%) in each category. Only 1 respondent (1.4%) held a Diploma, and 1 respondent (1.4%) was a Postgraduate. Overall, the findings show that the study population was highly educated, with graduates forming nearly three-fourths of the sample.

4. Occupation

Option	Responses	Percentage
Salaried	21	28.8%
Self-employed	48	65.8%
Business	3	4.1%
Professional	1	1.4%
Agriculture	0	0
Total	73	100

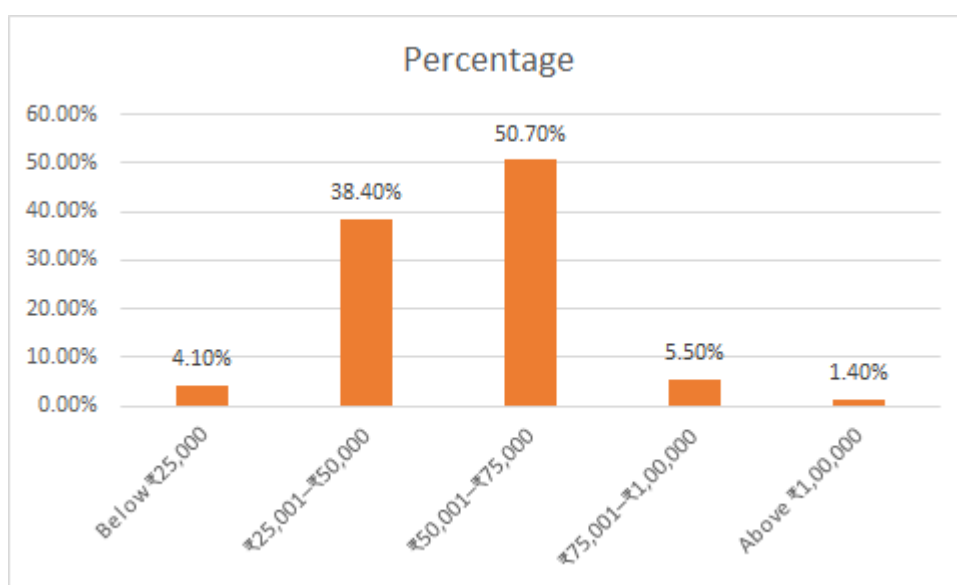


Interpretation:

The occupational profile of the respondents shows that the majority were self-employed, with 48 respondents (65.8%), making this the largest occupational group in the study. This was followed by salaried employees, who accounted for 21 respondents (28.8%). A small proportion of respondents were engaged in business (3 respondents, 4.1%), while only 1 respondent (1.4%) identified as a professional. No respondents reported agriculture or other occupations as their primary occupation.

5. Monthly Income

Option	Responses	Percentage
Below ₹25,000	3	4.1%
₹25,001–₹50,000	28	38.4%
₹50,001–₹75,000	37	50.7%
₹75,001–₹1,00,000	4	5.5%
Above ₹1,00,000	1	1.4%
Total	73	100

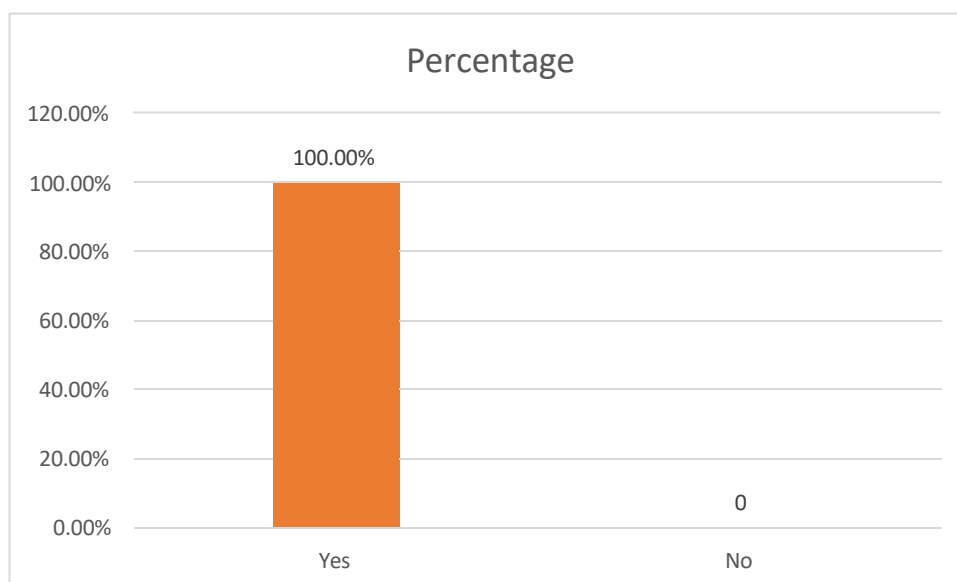


Interpretation:

The monthly income distribution of the respondents indicates that the largest group earned between **₹50,001 and ₹75,000**, comprising **37 respondents (50.7%)**. This was followed by respondents earning **₹25,001–₹50,000**, with **28 respondents (38.4%)**. A smaller proportion of respondents earned **₹75,001–₹1,00,000** (**4 respondents, 5.5%**), while **3 respondents (4.1%)** reported a monthly income of **below ₹25,000**. Only **1 respondent (1.4%)** earned **above ₹1,00,000** per month.

6. Have you availed a loan from Finnable Credit Pvt. Ltd.?

Option	Responses	Percentage
Yes	73	100.0%
No	0	0
Total	73	100

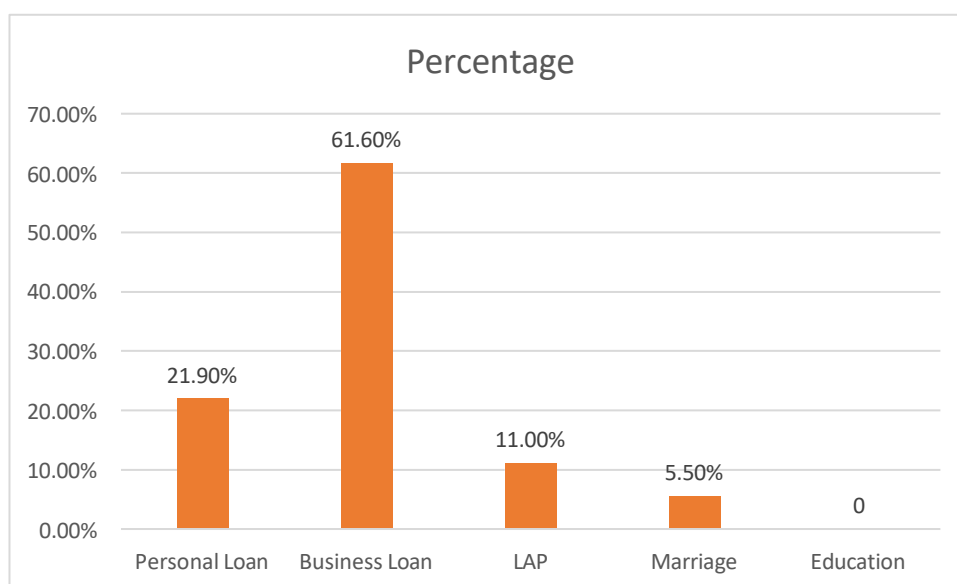


Interpretation:

The findings indicate that all 73 respondents (100%) had availed a loan from Finnable, while none of the respondents (0%) reported that they had not taken a loan from the company.

7. Type of Loan

Option	Responses	Percentage
Personal Loan	16	21.9%
Business Loan	45	61.6%
LAP	8	11.0%
Marriage	4	5.5%
Education	0	0
Total	73	100

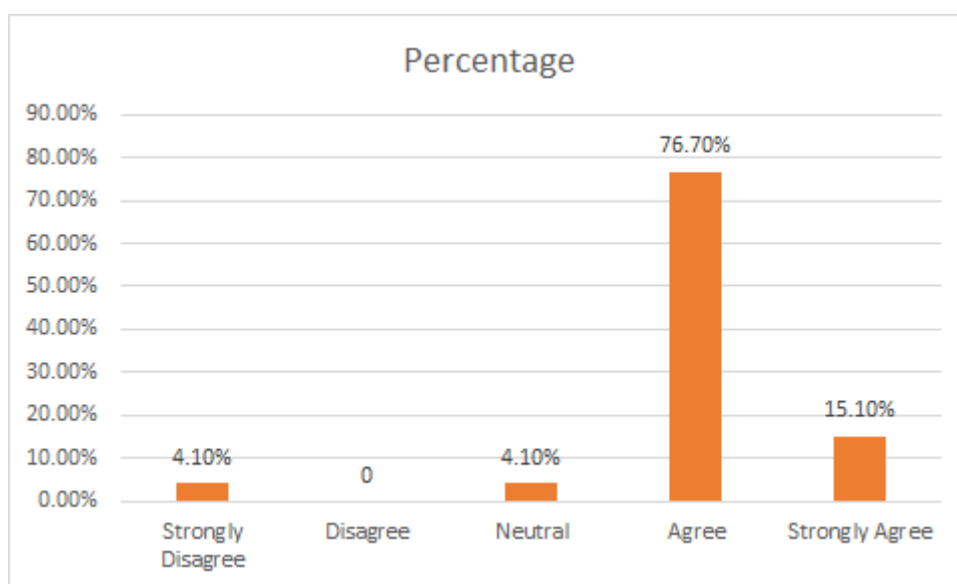


Interpretation:

The distribution of loan types shows that the majority of respondents had availed Business Loans, with 45 respondents (61.6%), making it the most common loan category. This was followed by Personal Loans, availed by 16 respondents (21.9%). Loan Against Property (LAP) was chosen by 8 respondents (11.0%), while Marriage Loans were availed by 4 respondents (5.5%).

8. The loan application process was transparent is it?

Option	Responses	Percentage
Strongly Disagree	3	4.1%
Disagree	0	0
Neutral	3	4.1%
Agree	56	76.7%
Strongly Agree	11	15.1%
Total	73	100

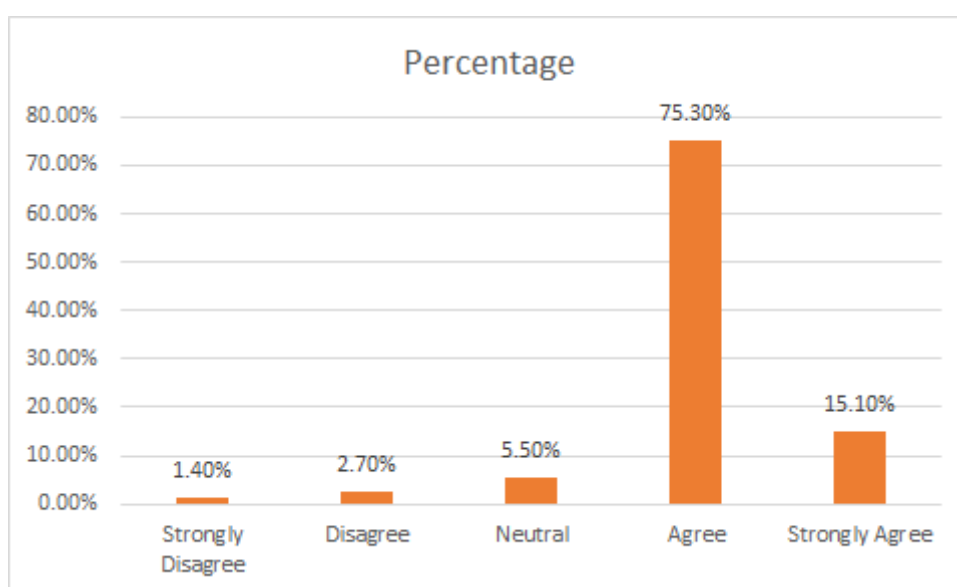


Interpretation:

The results indicate a strongly positive response from participants. A majority of respondents (76.7%) selected Agree, while an additional 15.1% selected Strongly Agree, meaning 91.8% expressed a favourable opinion. Only 4.1% of respondents Strongly Disagreed, with no respondents selecting Disagree. Another 4.1% remained Neutral.

9. Were the eligibility criteria for the loan clearly explained to you?

Option	Responses	Percentage
Strongly Disagree	1	1.4%
Disagree	2	2.7%
Neutral	4	5.5%
Agree	55	75.3%
Strongly Agree	11	15.1%
Total	73	100

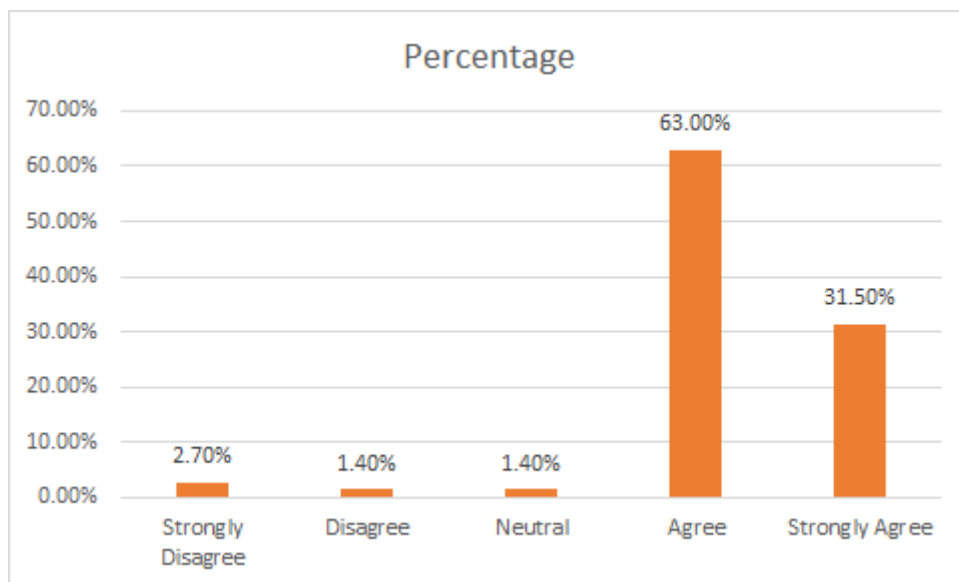


Interpretation:

The survey results indicate a predominantly positive perception among respondents. Out of 73 participants, 55 (75.3%) selected Agree and 11 (15.1%) selected Strongly Agree, meaning 90.4% of respondents expressed a favourable opinion. Only 3 respondents (4.1%) expressed disagreement, with 1 (1.4%) choosing Strongly Disagree and 2 (2.7%) choosing Disagree. Additionally, 4 respondents (5.5%) remained Neutral.

10. Did the company verify your credit history before sanctioning the loan?

Option	Responses	Percentage
Strongly Disagree	2	2.7%
Disagree	1	1.4%
Neutral	1	1.4%
Agree	46	63.0%
Strongly Agree	23	31.5%
Total	73	100

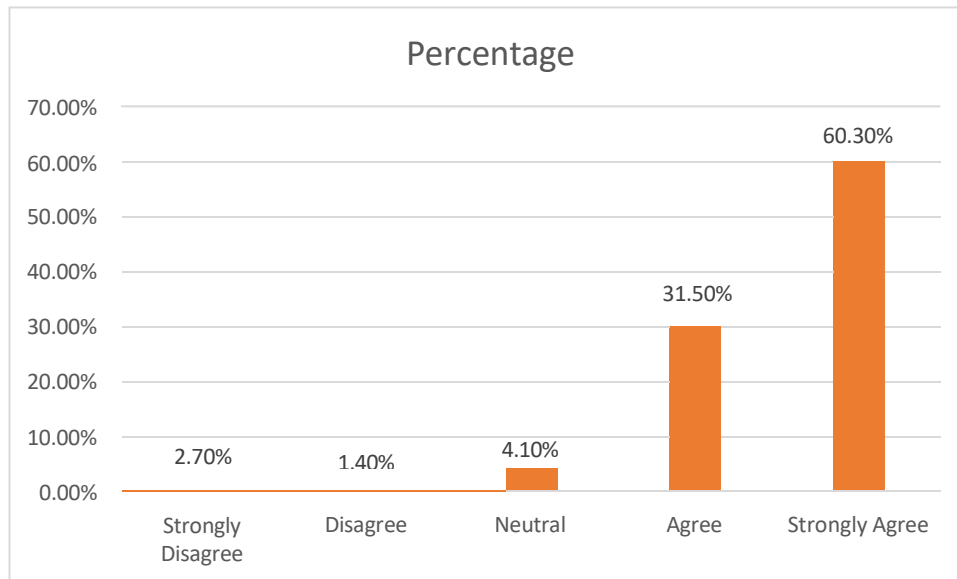


Interpretation:

The survey findings reveal a very strong positive perception among respondents. Of the 73 participants, 46 (63.0%) selected Agree and 23 (31.5%) selected Strongly Agree, indicating that 94.5% of respondents expressed a favorable opinion. Only 3 respondents (4.1%) expressed disagreement, with 2 (2.7%) choosing Strongly Disagree and 1 (1.4%) choosing Disagree. Just 1 respondent (1.4%) remained Neutral.

11. Did the company verify your credit history before sanctioning the loan?

Option	Responses	Percentage
Strongly Disagree	2	2.7%
Disagree	1	1.4%
Neutral	3	4.1%
Agree	23	31.5%
Strongly Agree	44	60.3%
Total	73	100

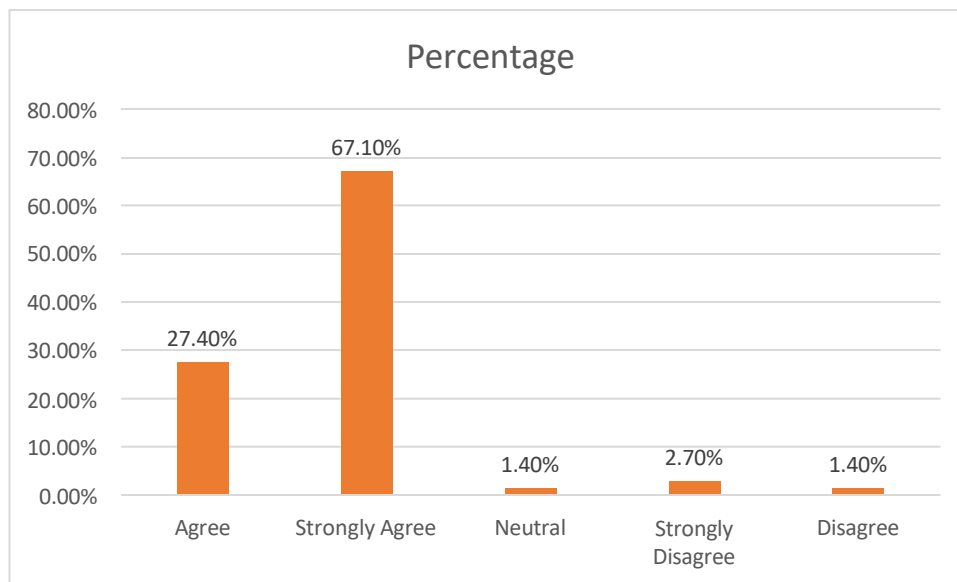


Interpretation:

Out of 73 respondents, 44 (60.3%) selected Strongly Agree and 23 (31.5%) selected Agree, indicating that 91.8% of participants expressed a positive opinion. Only 2 (2.7%) respondents Strongly Disagreed, 1 (1.4%) Disagreed, and 3 (4.1%) remained Neutral.

12. The EMI amount is affordable ?

Option	Responses	Percentage
Agree	20	27.4%
Strongly Agree	49	67.1%
Neutral	1	1.4%
Strongly Disagree	2	2.7%
Disagree	1	1.4%
Total	73	100%

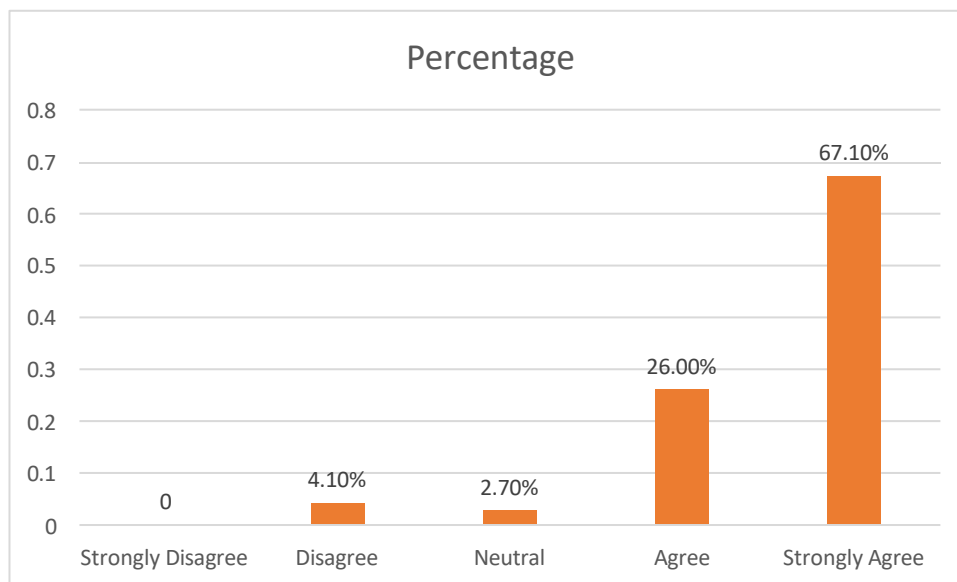


Interpretation:

Out of 73 respondents, 49 (67.1%) selected Strongly Agree and 20 (27.4%) selected Agree, indicating that 94.5% of participants expressed a positive opinion. Only 2 (2.7%) respondents Strongly Disagreed, 1 (1.4%) Disagreed, and 1 (1.4%) remained Neutral.

13. Are you pays EMIs amount on time ?

Option	Responses	Percentage
Strongly Disagree	0	0
Disagree	3	4.1%
Neutral	2	2.7%
Agree	19	26.0%
Strongly Agree	49	67.1%
Total	73	100%

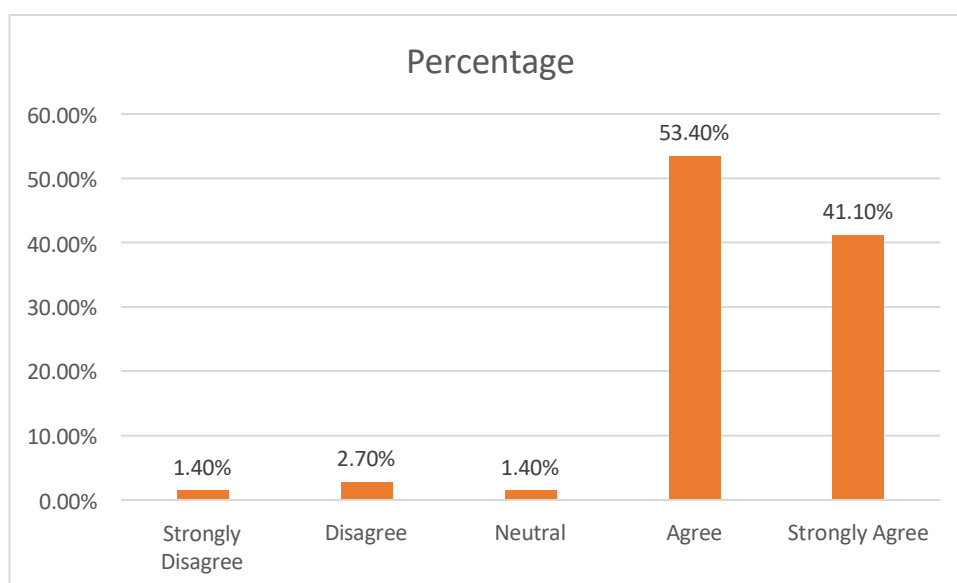


Interpretation:

Out of 73 respondents, 49 (67.1%) selected Strongly Agree and 19 (26.0%) selected Agree, indicating that 93.2% of participants expressed a positive opinion. Only 3 (4.1%) respondents Disagreed, none Strongly Disagreed, and 2 (2.7%) remained Neutral.

14. You have never defaulted on any EMI payment ?

Option	Responses	Percentage
Strongly Disagree	1	1.4%
Disagree	2	2.7%
Neutral	1	1.4%
Agree	39	53.4%
Strongly Agree	30	41.1%
Total	73	100%

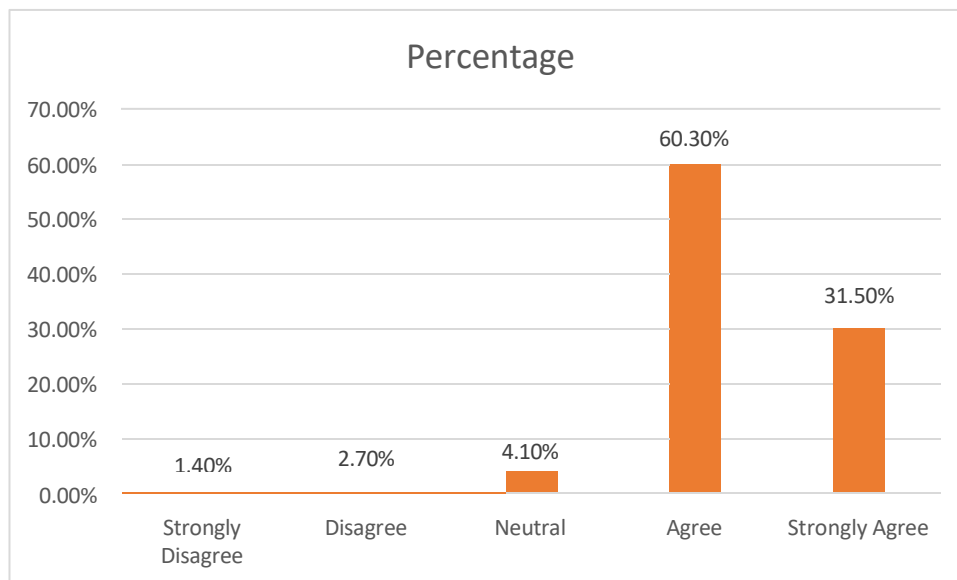


Interpretation:

Out of 73 respondents, 39 (53.4%) selected Agree and 30 (41.1%) selected Strongly Agree, indicating that 94.5% of participants expressed a positive opinion. Only 3 respondents (4.1%) expressed disagreement, while 1 respondent (1.4%) remained neutral.

15. Unexpected financial emergencies affect your repayment ability.

Option	Responses	Percentage
Strongly Disagree	1	1.4%
Disagree	2	2.7%
Neutral	3	4.1%
Agree	44	60.3%
Strongly Agree	23	31.5%
Total	73	100%

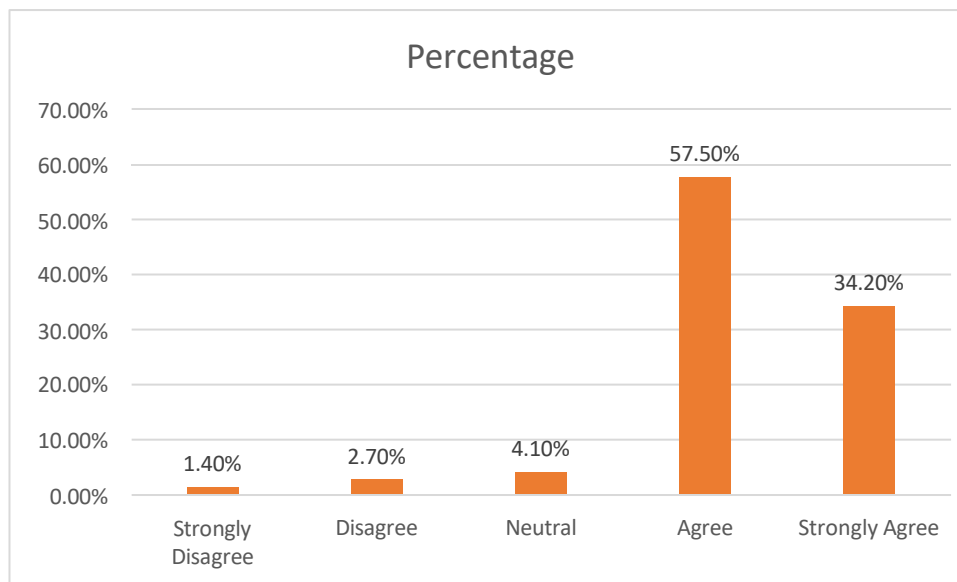


Interpretation:

Out of 73 respondents, 44 (60.3%) selected Agree and 23 (31.5%) selected Strongly Agree, indicating that 91.8% of participants expressed a positive opinion. Only 3 respondents (4.1%) expressed disagreement, while 3 (4.1%) remained neutral.

16. Your employment/income is stable enough to repay the loan.

Option	Responses	Percentage
Strongly Disagree	1	1.4%
Disagree	2	2.7%
Neutral	3	4.1%
Agree	42	57.5%
Strongly Agree	25	34.2%
Total	73	100%

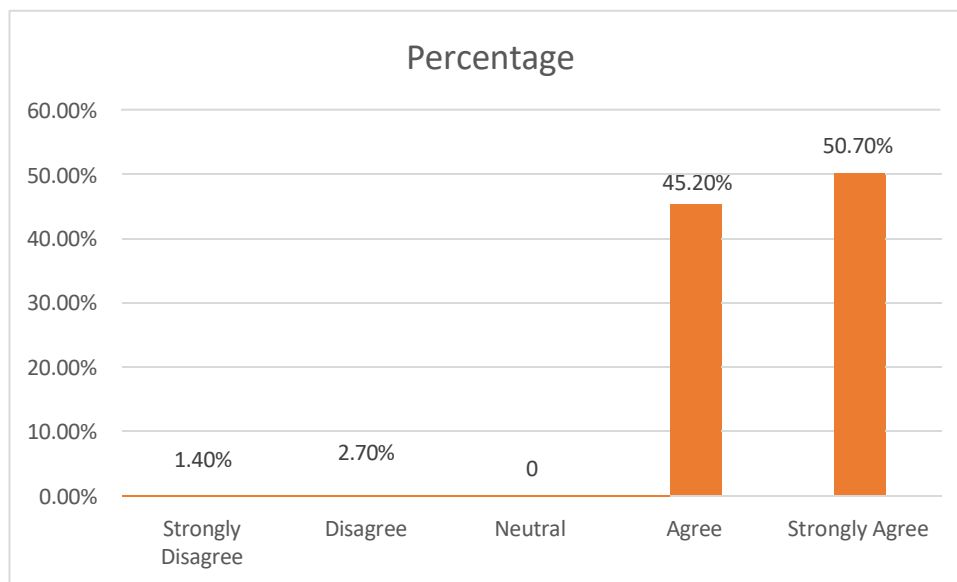


Interpretation:

Out of 73 respondents, 42 (57.5%) selected Agree and 25 (34.2%) selected Strongly Agree, indicating that 91.7% of participants expressed a positive opinion. Only 3 respondents (4.1%) expressed disagreement, while 3 (4.1%) remained neutral.

17. The interest rate charged is reasonable ?

Option	Responses	Percentage
Strongly Disagree	1	1.4%
Disagree	2	2.7%
Neutral	0	0
Agree	33	45.2%
Strongly Agree	37	50.7%
Total	73	100%

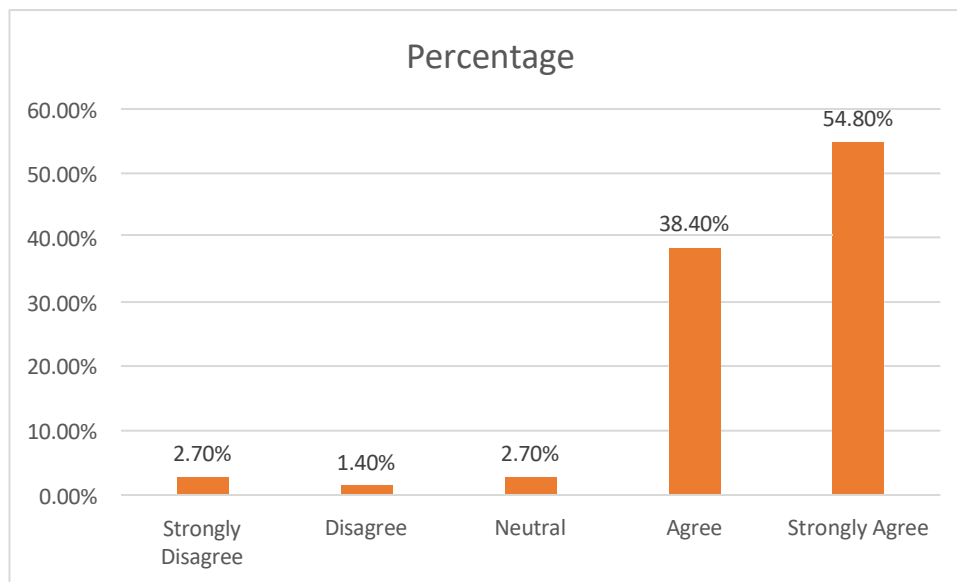


Interpretation:

Out of 73 respondents, 37 (50.7%) selected Strongly Agree and 33 (45.2%) selected Agree, indicating that 95.9% of participants expressed a positive opinion. Only 1 respondent (1.4%) expressed Strongly Disagree, while 2 (2.7%) remained neutral, and none selected Disagree.

18. Loan repayment reminders help you avoid missing EMIs.

Option	Responses	Percentage
Strongly Disagree	2	2.7%
Disagree	1	1.4%
Neutral	2	2.7%
Agree	28	38.4%
Strongly Agree	40	54.8%
Total	73	100%

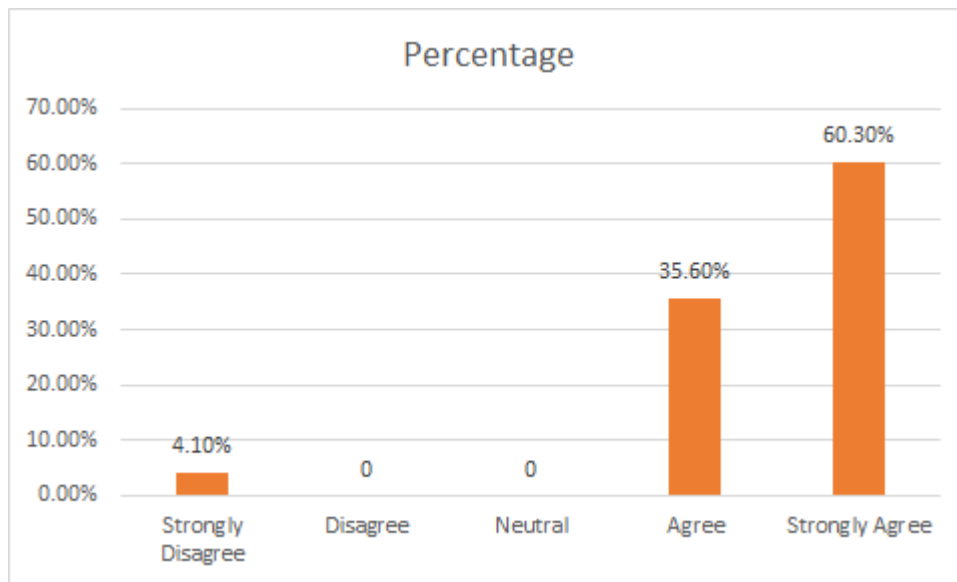


Interpretation:

Out of 73 respondents, 40 (54.8%) selected Strongly Agree and 28 (38.4%) selected Agree, indicating that 93.2% of participants expressed a positive opinion. Only 3 respondents (4.1%) expressed disagreement, while 2 (2.7%) remained neutral.

19. The company provides adequate support when repayment issues arise ?

Option	Responses	Percentage
Strongly Disagree	3	4.1%
Disagree	0	0
Neutral	0	0
Agree	26	35.6%
Strongly Agree	44	60.3%
Total	73	100%

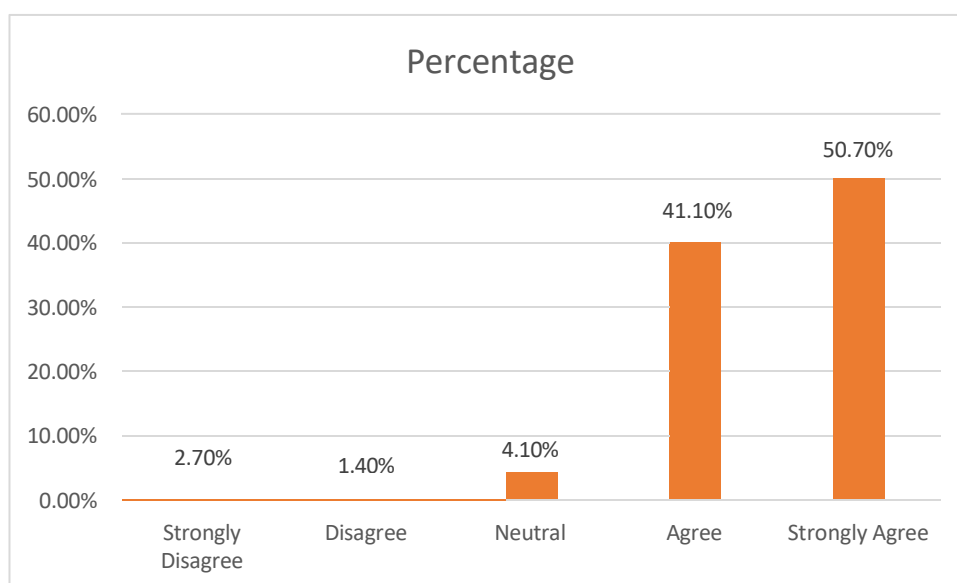


Interpretation:

Out of 73 respondents, 44 (60.3%) selected Strongly Agree and 26 (35.6%) selected Agree, indicating that 95.9% of participants expressed a positive opinion. Only 3 respondents (4.1%) selected Strongly Disagree, while there were no responses for Disagree or Neutral.

20. Do you understand the consequences of delayed EMI payments.

Option	Responses	Percentage
Strongly Disagree	2	2.7%
Disagree	1	1.4%
Neutral	3	4.1%
Agree	30	41.1%
Strongly Agree	37	50.7%
Total	73	100%

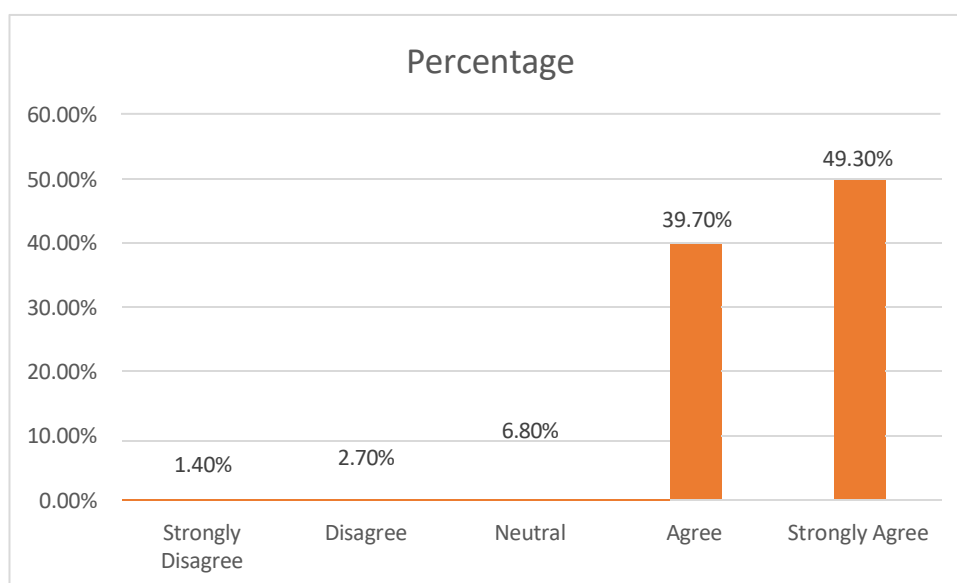


Interpretation:

Out of 73 respondents, 37 (50.7%) selected Strongly Agree and 30 (41.1%) selected Agree, indicating that 91.8% of participants expressed a positive opinion. Only 3 respondents (4.1%) expressed disagreement, while 3 (4.1%) remained neutral.

21. The loan terms and conditions were easy to understand.

Option	Responses	Percentage
Strongly Disagree	1	1.4%
Disagree	2	2.7%
Neutral	5	6.8%
Agree	29	39.7%
Strongly Agree	36	49.3%
Total	73	100%

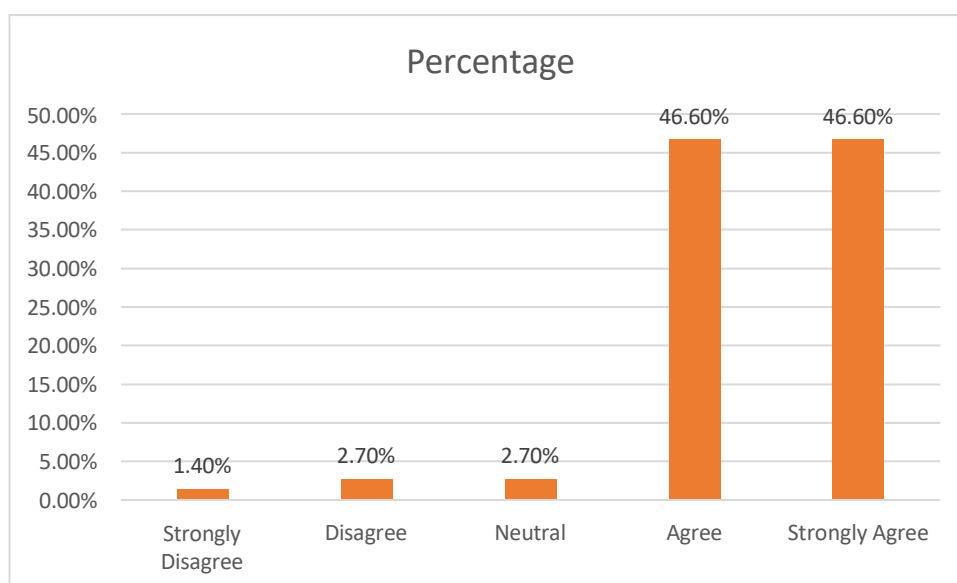


Interpretation:

Out of 71 respondents, 36 (50.7%) selected Strongly Agree and 29 (40.8%) selected Agree, indicating that 91.5% of participants expressed a positive opinion. Only 3 respondents (4.2%) expressed disagreement, while 3 (4.2%) remained neutral.

22. Are you believe Finnable Credit manages credit risk effectively.

Option	Responses	Percentage
Strongly Disagree	1	1.4%
Disagree	2	2.7%
Neutral	2	2.7%
Agree	34	46.6%
Strongly Agree	34	46.6%
Total	73	100%

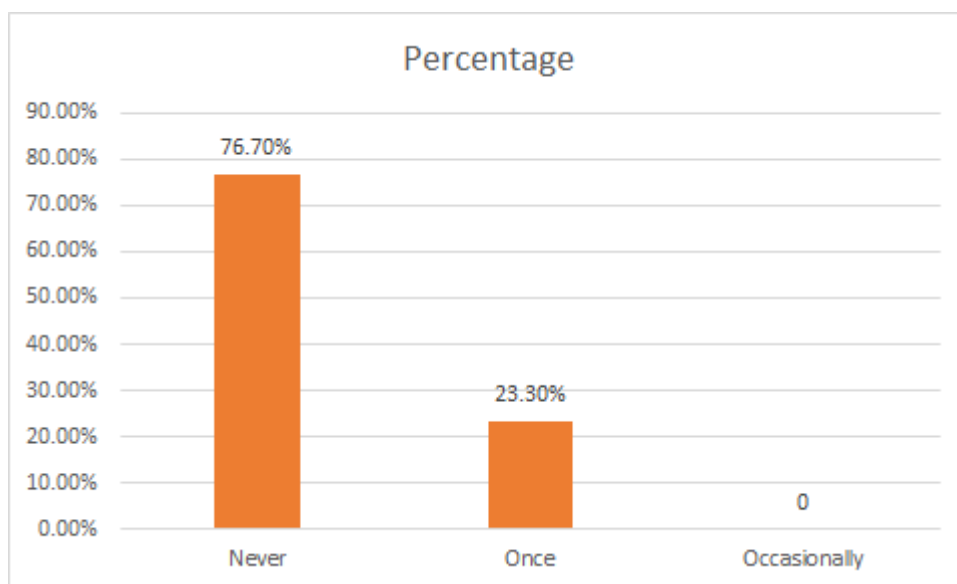


Interpretation:

Out of 73 respondents, 34 (46.6%) selected Strongly Agree and 34 (46.6%) selected Agree, indicating that 93.2% of participants expressed a positive opinion. Only 3 respondents (4.1%) expressed disagreement, while 2 (2.7%) remained neutral.

23. Have you ever missed an EMI payment?

Option	Responses	Percentage
Never	56	76.7%
Once	17	23.3%
Occasionally	0	0
Total	73	100%

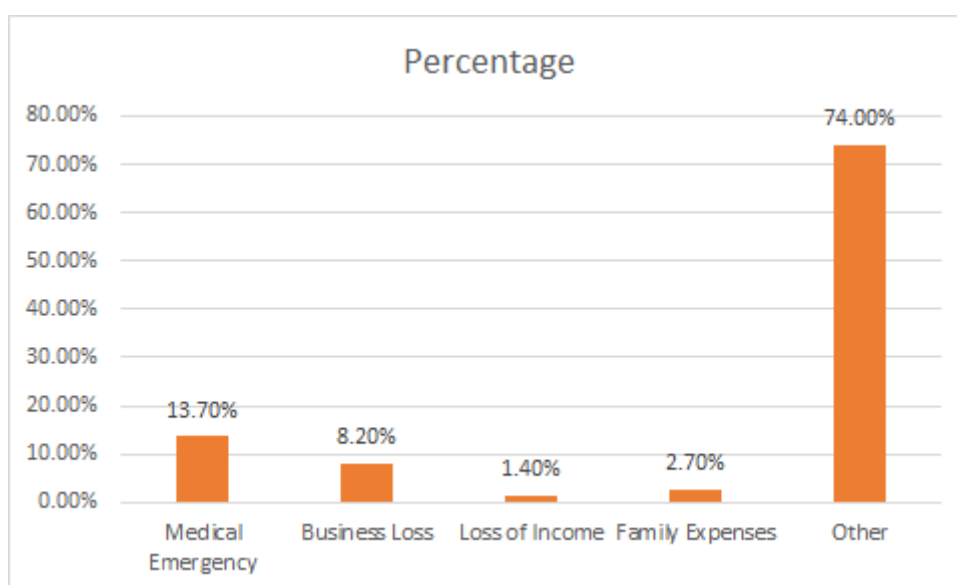


Data Interpretation:

Out of 73 respondents, 56 (76.7%) selected "Never", while 17 (23.3%) selected "Once". This indicates that the behaviour or event under study is not common among the majority of participants, as over three-quarters reported that it never occurred.

24. Main reason for delayed repayment.

Option	Responses	Percentage
Medical Emergency	10	13.7%
Business Loss	6	8.2%
Loss of Income	1	1.4%
Family Expenses	2	2.7%
Other	54	74.0%
Total	73	100%

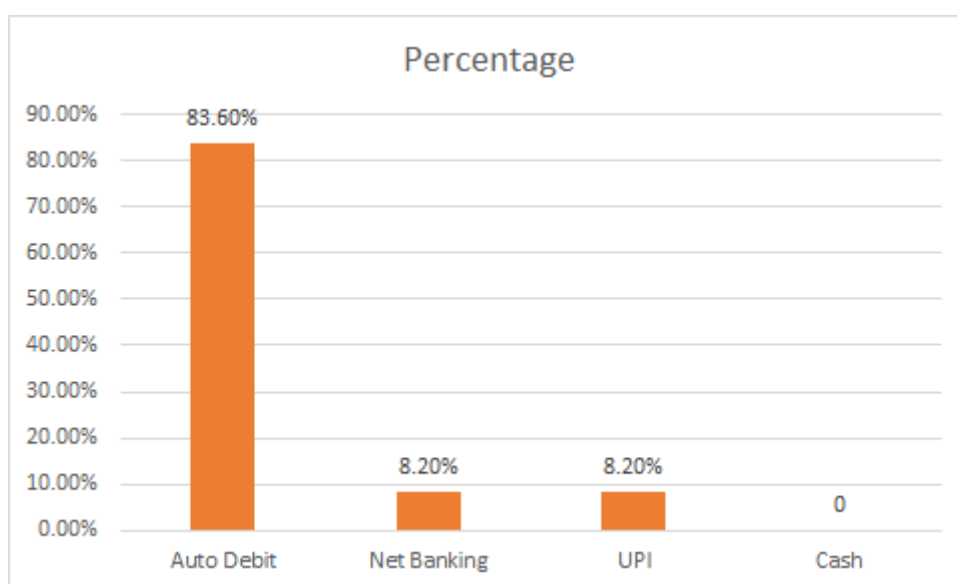


Interpretation:

The majority of respondents (74.0%) reported "Other" as the main reason for delayed repayment, indicating that most delays were due to reasons beyond the listed options. Medical emergencies (13.7%) and business losses (8.2%) were the next most common causes. Family expenses (2.7%) and loss of income (1.4%) had only a minimal impact on repayment delays.

25. How do you usually repay your EMI?

Option	Responses	Percentage
Auto Debit	61	83.6%
Net Banking	6	8.2%
UPI	6	8.2%
Cash	0	0
Total	73	100%

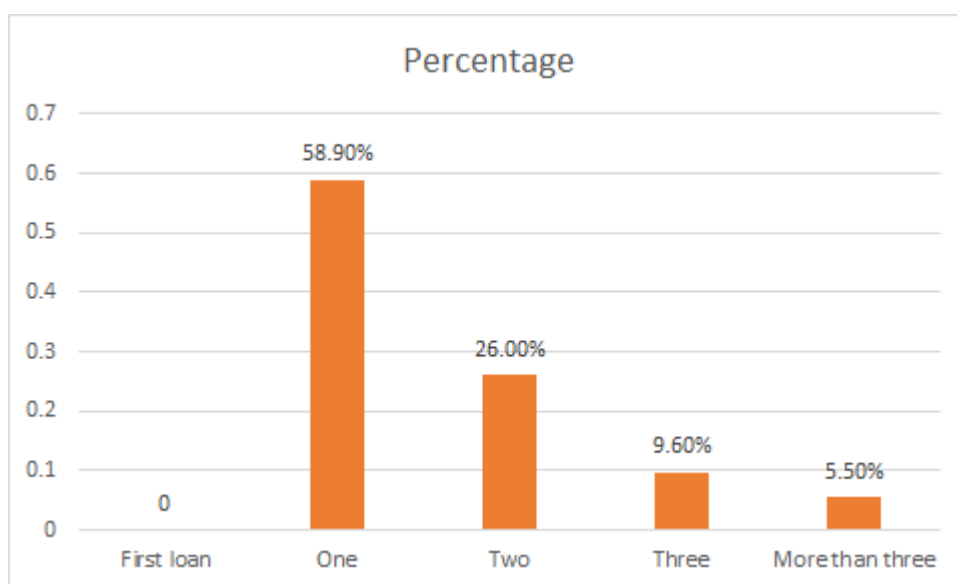


Interpretation:

The results show that Auto Debit is the most preferred EMI repayment method, used by 61 respondents (83.6%), indicating a strong preference for automated payments. In contrast, Net Banking and UPI are each used by only 6 respondents (8.2%), suggesting that manual digital payment methods are considerably less common among the respondents.

26. How many active loans do you currently have?

Option	Responses	Percentage
First loan	0	0
One	43	58.9%
Two	19	26.0%
Three	7	9.6%
More than three	4	5.5%
Total	73	100%

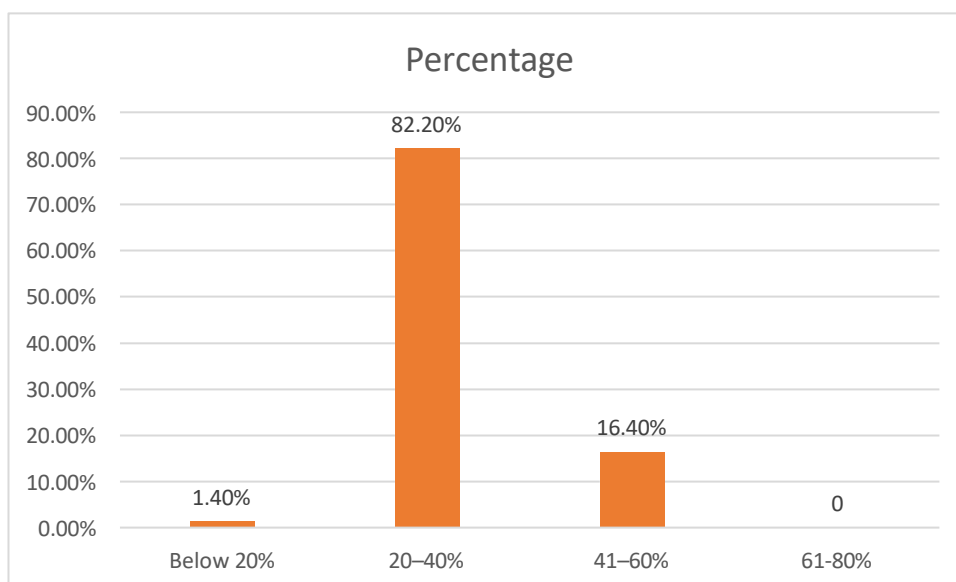


Interpretation:

The results indicate that 58.9% of respondents have one active loan, making it the most common borrowing pattern. 26.0% of respondents have two active loans, while only 15.1% have three or more loans. This suggests that most borrowers prefer to maintain a limited number of active loans, reflecting a relatively cautious borrowing behaviour.

27. What percentage of your monthly income goes toward EMI payments?

Option	Responses	Percentage
Below 20%	1	1.4%
20–40%	60	82.2%
41–60%	12	16.4%
61-80%	0	0
Total	73	100%

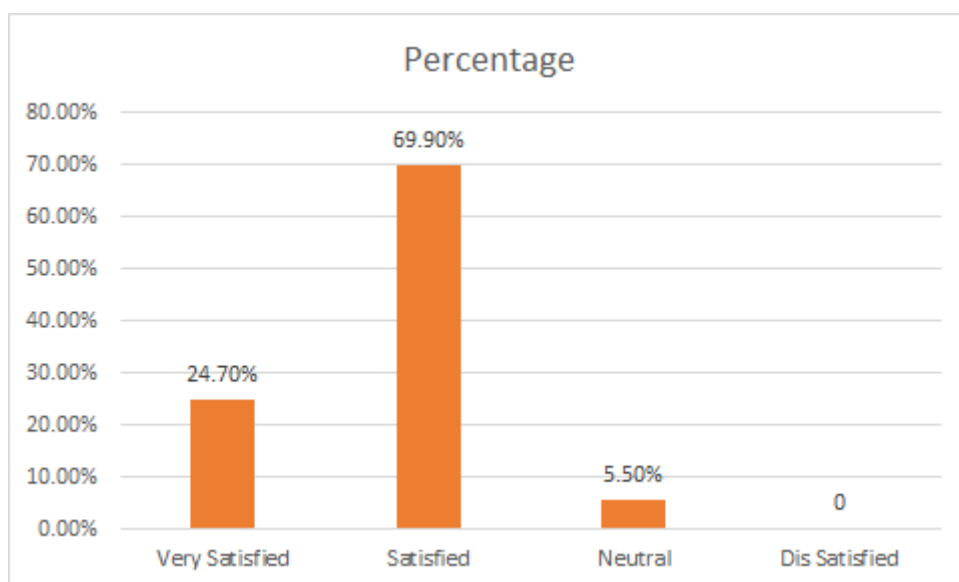


Interpretation:

The results indicate that 82.2% of respondents spend 20–40% of their monthly income on EMI repayments, making it the most common repayment burden. 16.4% allocate 41–60% of their income to EMIs, while only 1.4% spend below 20%.

28. Overall satisfaction with Finnable Credit Pvt. Ltd.

Option	Responses	Percentage
Very Satisfied	18	24.7%
Satisfied	51	69.9%
Neutral	4	5.5%
Dis Satisfied	0	0
Total	73	100%

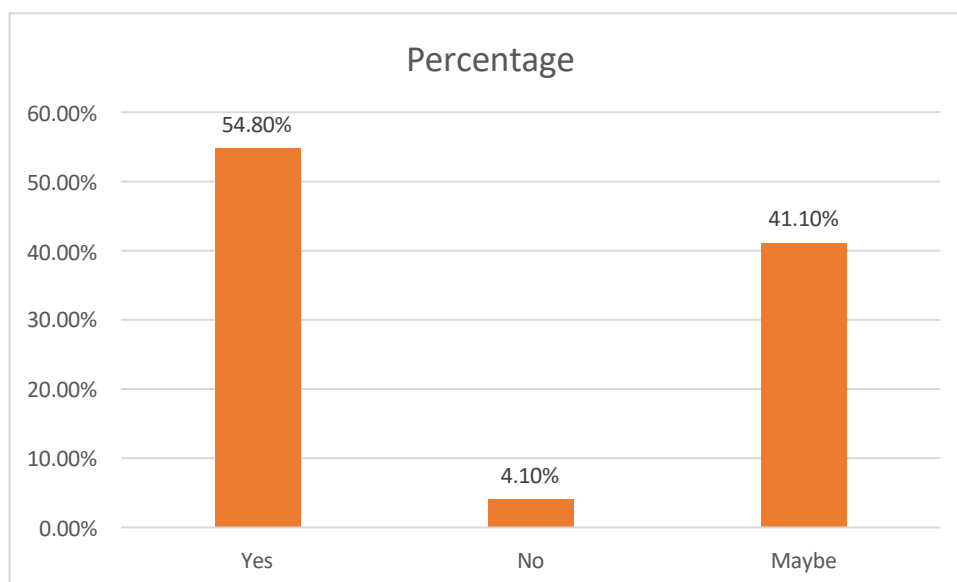


Interpretation:

The findings indicate that the majority of respondents (69.9%) are satisfied with the services of Finnable Credit Pvt. Ltd., while 24.7% are very satisfied, reflecting a high level of customer satisfaction. Only 5.5% of respondents expressed a neutral opinion, with no respondents reporting dissatisfaction.

29. Would you recommend Finnable Credit Pvt. Ltd. to others?

Option	Responses	Percentage
Yes	40	54.8%
No	3	4.1%
Maybe	30	41.1%
Total	73	100%

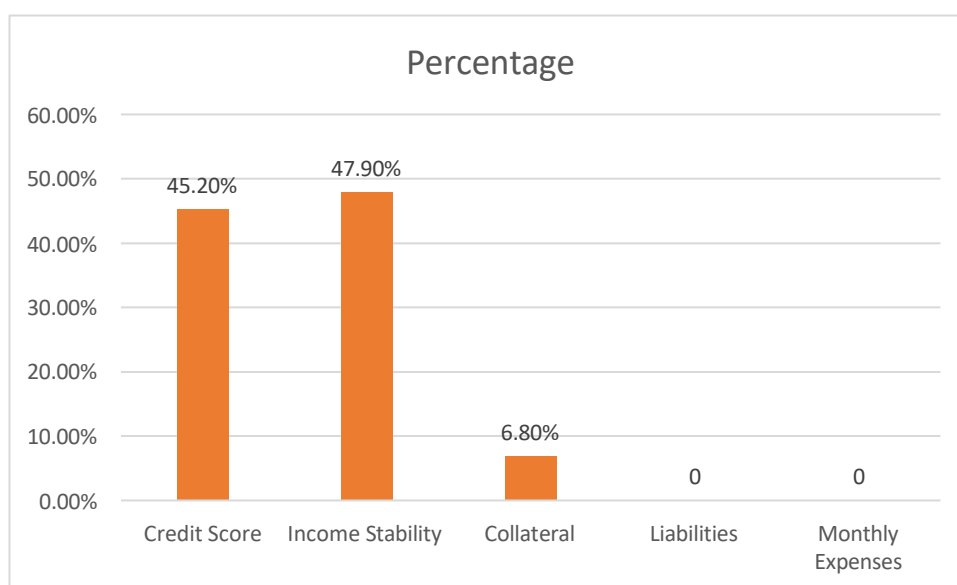


Interpretation:

The results indicate that 54.8% of respondents would recommend Finnable Credit Pvt. Ltd. to others, reflecting a positive customer experience. 41.1% responded "Maybe," suggesting that while they are generally satisfied, some improvements could strengthen their willingness to recommend the company. Only 4.1% of respondents said "No," indicating a very low level of dissatisfaction or reluctance to recommend the services.

30. Which factor should receive the highest priority during loan approval?

Option	Responses	Percentage
Credit Score	33	45.2%
Income Stability	35	47.9%
Collateral	5	6.8%
Liabilities	0	0
Monthly Expenses	0	0
Total	73	100%



Interpretation:

The findings indicate that Income Stability (47.9%) is considered the most important factor during loan approval, closely followed by Credit Score (45.2%). Only 6.8% of respondents believe that Collateral should receive the highest priority.

Correlation

	Monthly Income	Missed EMIs
Monthly Income	1	
Missed EMIs	0.89071	1

Interpretation:

The correlation analysis indicates the relationship between Monthly Income and Missed EMIs. The correlation coefficient between these two variables is 0.891, which signifies a very strong positive relationship. This suggests that the two variables are highly associated with each other. In other words, changes in monthly income are strongly related to changes in EMI repayment behaviour. The coefficient value is close to +1, indicating a high degree of association between the variables. Therefore, monthly income plays an important role in understanding EMI repayment patterns among the respondents.

Regression:

Regression	Statistics
Multiple R	0.964881
R Square	0.930995
Adjusted R Square	0.926935
Standard Error	0.20278
Observations	73

Interpretation:

The regression model summary demonstrates the overall effectiveness of the regression model in explaining the dependent variable. The Multiple R value of 0.965 indicates a very strong relationship between the observed and predicted values. The R Square value of 0.931 reveals that 93.1% of the variation in the dependent variable is explained by the independent variables included in the model. Furthermore, the Adjusted R Square value of 0.927 confirms that the model maintains a high explanatory power even after adjusting for the number of predictors. The Standard Error of 0.203 indicates that the prediction errors are relatively low, suggesting that the model provides accurate estimates. Overall, the regression model exhibits an excellent fit and is highly suitable for explaining the factors influencing the dependent variable.

ANOVA

	Coefficients	Standard Error	<i>t Stat</i>	<i>P-value</i>	<i>Lower 95%</i>	<i>Upper 95%</i>	<i>Lower 95.0%</i>	<i>Upper 95.0%</i>
Intercept	-0.5422	0.237934	-2.27878	0.025826	-1.01699	0.06741	-1.01699	0.06741
X Variable 1	0.420662	0.064039	6.568864	8.41E-09	0.292875	0.548449	0.292875	0.548449
X Variable 2	0.665231	0.06612	10.06103	4.26E-15	0.533291	0.79717	0.533291	0.79717
X Variable 3	0.016731	0.04951	0.337932	0.736455	-0.08207	0.115527	-0.08207	0.115527
X Variable 4	0.001734	0.054809	0.031638	0.974853	-0.10764	0.111104	-0.10764	0.111104

Interpretation:

The regression coefficient analysis explains the individual contribution of each independent variable to the dependent variable. The intercept has a coefficient of -0.542 and is statistically significant ($p = 0.026$). X Variable 1 has a positive coefficient of 0.421 with a highly significant p-value (8.41×10^{-9}), indicating that it has a significant positive influence on the dependent variable. Similarly, X Variable 2 has the highest coefficient (0.665) and is also highly significant ($p = 4.26 \times 10^{-15}$), making it the strongest predictor in the model. On the other hand, X Variable 3 has a coefficient of 0.017 with a p-value of 0.736 , while X Variable 4 has a coefficient of 0.002 with a p-value of 0.975 . Since both p-values are greater than the 0.05 significance level, these variables do not have a statistically significant effect on the dependent variable. Hence, the regression results indicate that only X Variable 1 and X Variable 2 significantly influence the dependent variable, whereas X Variable 3 and X Variable 4 do not contribute significantly to the model.

CHAPTER – 6
Findings & Suggestions

Findings:

- The majority of respondents (89%) were male, indicating that most borrowers are men.
- Most respondents (54.8%) belonged to the age group of 26–35 years, showing that young adults are the primary customers.
- Around 72.6% of respondents were graduates, indicating a highly educated customer base.
- The majority of borrowers (65.8%) were self-employed and mainly depended on business income.
- Most respondents (50.7%) earned between ₹50,001 and ₹75,000 per month.
- Business loans (61.6%) were the most preferred loan product among customers.
- More than 90% of respondents agreed that the loan process was transparent and the eligibility criteria were clearly explained.
- Most borrowers considered the EMI amount affordable and regularly paid their instalments on time.
- About 76.7% of respondents had never missed an EMI payment, reflecting good repayment behaviour.
- The study found a high level of customer satisfaction, with most respondents willing to recommend Finnacle Credit Pvt. Ltd. to others.

Suggestions:

- The company should provide financial awareness programmes for borrowers.
- Flexible repayment options should be introduced for customers facing financial difficulties.
- Special support should be provided to borrowers affected by medical emergencies or business losses.
- The company should continue maintaining transparency in the loan approval process.
- More digital payment options should be promoted to improve repayment convenience.
- Customer support and grievance handling mechanisms should be strengthened.
- Regular EMI reminders should be continued to reduce repayment defaults.
- Customized loan products should be designed for different customer groups.
- Greater emphasis should be placed on income stability and credit assessment during loan approval.
- Continuous monitoring of repayment behaviour should be implemented to improve credit risk management and reduce future defaults.

Conclusion:

The study concludes that Finnable Credit Pvt. Ltd. has adopted an effective credit risk assessment and management system that has resulted in a high level of customer satisfaction and responsible repayment behaviour among borrowers. The findings indicate that the company follows transparent loan processing procedures, verifies borrowers' income and credit history thoroughly, and offers affordable EMI options that match customers' repayment capacities. The majority of respondents expressed satisfaction with the company's services, loan terms, customer support, and repayment reminder system, reflecting the organization's commitment to maintaining quality lending practices.

The study also reveals that most borrowers are self-employed individuals who prefer business loans and maintain a disciplined repayment pattern, with a large majority reporting that they have never missed an EMI payment. Income stability and credit score were identified as the most important factors in loan approval, highlighting the significance of proper borrower evaluation in minimizing credit risk. Although customer satisfaction levels are high, many respondents suggested further improvements in the credit assessment process. Therefore, Finnable Credit Pvt. Ltd. should continue strengthening its risk assessment framework through advanced digital verification, flexible repayment solutions, and enhanced customer support. Overall, the study concludes that effective credit risk management not only minimizes loan defaults but also improves customer confidence, operational efficiency, and the long-term sustainability and profitability of the organization.

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WEBSITS

- **Finnable Credit Pvt. Ltd. (Official Website)**
[Finnable Credit](#)
- **Finnable Annual Reports**
[Finnable Annual Reports](#)
- **Finnable Policies & Regulatory Disclosures**
[Finnable Policies and Codes](#)
- **Reserve Bank of India (RBI)**
[Reserve Bank of India](#)
- **Basel Committee on Banking Supervision (BIS)**
[Bank for International Settlements \(BIS\)](#)

APPENDIEX

A Study on Credit Risk Management - Finnable Credit Pvt Ltd (Tirupati)

1. Age *

☐ Below 25

☐ 26 - 35

☐ 36 - 50

☐ 51 - 80

2. Educational Qualification *

☐ SSC

☐ Intermediate

☐ Diploma

☐ Graduate

☐ Postgraduate

☐ Others

3. Occupation *

☐ Salaried

☐ Self-employed

☐ Business

☐ Professional

☐ Agriculture

☐ Others

4. Monthly Income *

- ☐ Below 25,000 ₹
- ☐ ₹ 25,001–50,000
- ☐ ₹ 50,001–75,000
- ☐ ₹ 75,001–1,00,000
- ☐ Above 1,00,000 ₹

5. Have you availed a loan from Finnable Credit Pvt. Ltd.? *

- ☐ Yes
- ☐ No

6. Type of Loan *

- ☐ Personal Loan
- ☐ Business Loan
- ☐ LAP
- ☐ Education Loan
- ☐ Marriage
- ☐ Other

7. Credit Risk Assessment (Mark only one oval per row.)

S.No	Statement	Strongly Disagree	Disagree	Neutral	Agree	Strongly Agree
1	The loan application process was transparent.	☐	☐	☐	☐	☐

2	The eligibility criteria were clearly explained.	☐	☐	☐	☐	☐
3	My income was properly verified before loan approval.	☐	☐	☐	☐	☐
4	The company verified my credit history before sanctioning the loan.	☐	☐	☐	☐	☐
5	The EMI amount is affordable.	☐	☐	☐	☐	☐
6	I pay my EMIs on time.	☐	☐	☐	☐	☐
7	I have never defaulted on any EMI payment.	☐	☐	☐	☐	☐
8	Unexpected financial emergencies affect my repayment ability.	☐	☐	☐	☐	☐
9	My employment/income is stable enough to repay the loan.	☐	☐	☐	☐	☐

10	The interest rate charged is reasonable.	☐	☐	☐	☐	☐
11	Loan repayment reminders help me avoid missing EMIs.	☐	☐	☐	☐	☐
12	The company provides adequate support when repayment issues arise.	☐	☐	☐	☐	☐
13	I understand the consequences of delayed EMI payments.	☐	☐	☐	☐	☐
14	The loan terms and conditions were easy to understand.	☐	☐	☐	☐	☐
15	I believe Finnable Credit manages credit risk effectively.	☐	☐	☐	☐	☐

8. Have you ever missed an EMI payment? *

- ☐ Never
- ☐ Once
- ☐ Occasionally
- ☐ Frequently

9. Main reason for delayed repayment *

- ☐ Loss of Income
- ☐ Medical Emergency
- ☐ Business Loss
- ☐ Family Expenses
- ☐ Forgot EMI Date
- ☐ Other

10. How do you usually repay your EMI? *

- ☐ Auto Debit
- ☐ UPI
- ☐ Net Banking
- ☐ Cash
- ☐ Bank Transfer

11. How many active loans do you currently have? *

- ☐ One
- ☐ Two
- ☐ Three
- ☐ More than Three

12. Have you ever restructured or rescheduled your loan? *

- ☐ Yes
- ☐ No

13. Before taking a loan, do you compare different lenders? *

- ☐ Always
- ☐ Sometimes
- ☐ Rarely
- ☐ Never

14. Do you maintain a monthly budget? *

☐ Yes

☐ No

15. Do you have emergency savings? *

☐ Yes

☐ No

16. What is your primary source of income? *

☐ Salary

☐ Business

☐ Agriculture

☐ Pension

☐ Others

17. What percentage of your monthly income goes toward EMI payments? *

☐ Below 20%

☐ 20–40%

☐ 41–60%

☐ Above 60%

18. Overall satisfaction with Finnable Credit Pvt. Ltd. *

☐ Very Dissatisfied

☐ Dissatisfied

☐ Neutral

☐ Satisfied

☐ Very Satisfied

19. Would you recommend Finnable Credit Pvt. Ltd. to others? *

☐ Yes

☐ No

☐ Maybe

20. Do you think the company should improve its credit assessment process? *

☐ Yes

☐ No

21. Which factor should receive the highest priority during loan approval? *

☐ Income Stability

☐ Credit Score

☐ Employment

☐ Existing Liabilities

☐ Collateral

22. Suggestions for improving credit risk management:



Research Article

A Study on Credit Risk Management in a Non-Banking Financial Company (NBFC)

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A B S T R A C T

Credit risk management plays a crucial role in ensuring the financial stability and profitability of Non-Banking Financial Companies (NBFCs). This study examines on credit risk management. The study aims to understand the loan approval process, analyse customers' repayment behaviour, and evaluate customer satisfaction regarding the company's credit risk management.

The study is based on primary data collected through a structured questionnaire administered to 73 borrowers of Finnacle credit pvt ltd. Descriptive statistics, percentage analysis, correlation analysis, and regression analysis were used to analyse the collected data.

The findings reveal that the majority of respondents are self-employed borrowers who prefer business loans and maintain a good repayment record. The correlation analysis indicated a strong positive relationship between monthly income and EMI repayment behaviour ($r = 0.891$). The regression analysis showed that the model explains 93.1% of the variation in repayment behaviour ($R^2 = 0.931$), indicating excellent explanatory power.

The study concludes that NBFC. has adopted an effective credit risk management system that ensures high customer satisfaction, minimizes loan defaults, and strengthens the company's overall financial performance.

Keywords: Credit Risk Management, NBFC, Loan Repayment Behaviour, Customer Satisfaction, Credit Assessment

Introduction

Credit risk management is one of the most important functions of financial institutions and Non-Banking Financial Companies (NBFCs).¹ It refers to the process of identifying, assessing, monitoring, and controlling the risk that borrowers may fail to repay their loans according to the agreed terms and conditions. Effective credit risk management helps financial institutions minimize loan

defaults, improve asset quality, maintain profitability, and ensure long-term financial stability. In the modern financial environment, where lending activities are continuously increasing, managing credit risk has become a major challenge for financial institutions.

NBFCs play a significant role in the Indian financial system by providing financial services to individuals and businesses that may have limited access to traditional banking facilities.

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These institutions contribute significantly to economic development by providing loans to small businesses, self-employed individuals, and other underserved sections of society.^{2,3} However, the lending activities of NBFCs expose them to various risks, among which credit risk is considered the most significant. Failure to manage credit risk effectively can lead to increased loan defaults, non-performing assets (NPAs), and financial losses.⁴

NBFCs that provides different types of loans, including business loans, personal loans, and loans against property. The company follows various credit assessment procedures such as income verification, credit history analysis, employment verification, and repayment capacity assessment before sanctioning loans.⁵ The effectiveness of these practices directly influences the company's financial performance and customer satisfaction.

The importance of credit risk management has increased due to changing economic conditions, growing competition in the lending sector, and the rapid adoption of digital lending technologies.^{6,7} Financial institutions must ensure that loans are granted only to creditworthy borrowers who possess adequate repayment capacity. Effective credit assessment and continuous monitoring of borrowers can significantly reduce the probability of loan defaults and improve the quality of the loan portfolio.

Despite the importance of credit risk management, many financial institutions continue to face challenges such as delayed repayments, changing borrower behaviour, unexpected financial emergencies, and inadequate borrower information.⁸ These factors may negatively affect loan recovery and increase the risk of defaults. Therefore, understanding customer perceptions regarding loan approval procedures, repayment behaviour, and factors affecting repayment has become essential for strengthening credit risk management.⁹

The present study, titled "A Study on Credit Risk Management attempts to examine the effectiveness of the company's credit risk management and analyse customers opinions regarding the loan approval process, credit assessment procedures, repayment patterns, and overall satisfaction with the company's services.¹⁰ The study also seeks to identify the major factors influencing repayment behaviour and suggest measures to improve the existing credit risk management system.¹¹

The study is based on primary data collected through a structured questionnaire administered to 73 customers of Finnable credit pvt ltd. Statistical tools such as percentage analysis, correlation analysis, and regression analysis have been used to interpret the collected data and draw meaningful conclusions.¹² The findings of the study are expected to provide valuable insights into the effectiveness

of the company's credit risk management and help in formulating strategies to minimize credit risk and improve customer satisfaction.

Review of Literature

Concept of Credit Risk Management

Credit risk management refers to the process of identifying, assessing, monitoring, and controlling the risk arising from a borrower's inability to repay financial obligations according to agreed terms and conditions.¹³ According to Saunders and Allen (2010),¹⁴ credit risk is the most significant risk faced by financial institutions because lending activities constitute a major portion of their business operations. Effective credit risk management helps financial institutions reduce loan defaults, improve profitability, and maintain financial stability.

Basel Committee on Banking Supervision (2000).¹⁵ emphasized that financial institutions should establish sound credit risk management systems that include proper credit appraisal, continuous monitoring, and effective recovery mechanisms. Modern financial institutions increasingly use credit scoring models, digital verification systems, and data analytics to improve the quality of lending decisions and minimize credit losses.¹⁶

Credit Risk Management and Loan Performance

Several studies have confirmed that effective credit risk management positively influences loan performance and reduces the probability of defaults. Kargi (2011).¹⁷ examined the impact of credit risk on the profitability of Nigerian banks and found that proper credit risk assessment significantly reduced non-performing loans and improved financial performance.

Abiola and Olausi (2014).¹⁸ studied selected commercial banks and concluded that efficient credit risk management lead to better asset quality and higher profitability. Their findings indicated that institutions with strong borrower evaluation procedures experience fewer loan defaults and maintain better financial stability.¹⁹

In the Indian context, Mishra and Pradhan (2018).²⁰ found that proper borrower screening and credit assessment significantly improved loan recovery rates and reduced non-performing assets. The study highlighted the importance of income verification, credit history analysis, and continuous monitoring in maintaining healthy loan portfolios.²¹

Credit Risk Management in NBFCs

Research on credit risk management in Non-Banking Financial Companies (NBFCs) has gained importance due to the rapid growth of the sector in India. NBFCs provide financial services to individuals and businesses that often have limited access to traditional banking institutions.²²

However, these institutions are more exposed to credit risk because of their higher lending activities to unorganized sectors and small businesses.²³

Ranjan and Dhal (2003).²⁴ found that weak credit appraisal systems and inadequate borrower assessment were among the major reasons for rising non-performing assets in financial institutions. Similarly, Gupta and Kashiramka (2020).²⁵ concluded that digital credit assessment and effective borrower verification significantly improved the quality of lending decisions in Indian NBFCs.

A study conducted by Kumar and Singh (2019).²⁶ revealed that customer repayment behaviour is strongly influenced by income stability, employment status, and financial emergencies. The researchers suggested that financial institutions should continuously monitor borrower behaviour and adopt flexible repayment mechanisms to reduce credit risk.²⁷

Customer Satisfaction and Credit Risk Management

Customer satisfaction is an important indicator of the effectiveness of credit risk management. According to Kotler and Keller (2016),²⁸ customer satisfaction is achieved when the services provided by an organization meet or exceed customer expectations.

Sharma and Sharma (2017).²⁹ studied customer satisfaction in financial institutions and found that transparent loan procedures, reasonable interest rates, and efficient customer support significantly improved borrower satisfaction and repayment behaviour. The study also concluded that satisfied customers are more likely to maintain timely repayments and recommend the institution to others.

Another study by Patel and Desai (2021).³⁰ revealed that effective communication regarding loan terms, repayment schedules, and consequences of delayed payments positively influenced customer confidence and reduced default rates.

Research Gap and Hypothesis

The review of literature indicates that numerous studies have examined the importance of credit risk management in banks and financial institutions. However, very few studies have specifically focused on customer perceptions of credit risk management in Non-Banking Financial Companies, particularly in Finnacle credit pvt ltd, Tirupati.³¹ Moreover, limited research has examined the relationship between borrowers' income, repayment behaviour, and customer satisfaction in the context of NBFCs.

The present study attempts to fill this gap by analysing customers' opinions regarding loan approval procedures, credit assessment, repayment behaviour, and overall satisfaction with the credit risk management.³²

Hypotheses of the Study

- **H1:** Monthly income has a significant positive relationship with EMI repayment behaviour among borrowers of Finnacle credit pvt ltd Tirupati
- **H1:** Effective credit assessment has a significant positive impact on customer satisfaction.
- **H1:** Credit risk management significantly influences borrowers' repayment behaviour and loan performance.

Research Methodology

Research Design

The present study titled "A Study on Credit Risk Management in NBFC Tirupati" adopts a descriptive and correlational research design. The study is quantitative in nature and primarily depends on primary data collected through a structured questionnaire. The descriptive research design was used to understand customers' perceptions regarding loan approval procedures, repayment behaviour, and customer satisfaction. The correlational research design was used to examine the relationship between monthly income and EMI repayment behaviour and to analyse the factors influencing effective credit risk management.

The study attempts to evaluate the effectiveness of credit risk management followed by NBFC. and identify the major factors that contribute to responsible repayment behaviour and customer satisfaction.

Population and Sample

The target population of the study consists of all borrowers and customers of Finnacle credit pvt ltd., Tirupati, who have availed different types of loans from the company. Since it was not possible to collect data from the entire population, a sample survey method was adopted.

A total of 73 respondents were selected for the study using the convenience sampling method. The sample included borrowers belonging to different age groups, educational qualifications, occupations, and income categories.

Inclusion Criteria

- Customers who have availed loans from NBFC.
- Customers willing to participate in the survey.
- Customers with active or previous loan repayment experience.

Exclusion Criteria

- Individuals who have not availed any loan from the company.
- Incomplete or invalid questionnaire responses.

Data Collection Tool

The study is based on a structured questionnaire developed by the researcher to collect primary data from respondents.

The questionnaire consists of three sections:

Section A: Demographic Profile

- This section includes information related to:
 - Gender
 - Age
 - Educational Qualification
 - Occupation
 - Monthly Income

Section B: Credit Risk Management

This section includes questions related to:

- Type of loan availed
- Transparency of loan procedures
- Credit assessment and verification process
- EMI affordability
- Repayment reminders
- Factors influencing delayed repayment

Section C: Customer Satisfaction and Repayment Behaviour

This section includes questions related to:

- EMI repayment methods
- Missed EMI payments
- Customer satisfaction
- Recommendation of company services
- Factors influencing loan approval decisions

Most of the opinion-based questions were measured using a five-point Likert Scale, ranging from:

- 1 = Strongly Disagree
- 2 = Disagree
- 3 = Neutral
- 4 = Agree
- 5 = Strongly Agree

The questionnaire was reviewed and validated with the guidance of academic experts and company officials to ensure clarity and reliability.

Data Collection Procedure

Primary data for the study were collected directly from customers of NBFC., Tirupati. The questionnaires were personally distributed by the researcher to the respondents during the study period.

A total of 73 questionnaires were distributed and all questionnaires were properly completed and considered suitable for analysis. Therefore, the final sample size for the study consisted of 73 usable responses.

Secondary data were collected from:

- Company reports and documents.
- Research journals and published articles.
- Books related to credit risk management.
- Websites and online databases.

Data Analysis

The collected data were classified, tabulated, and analysed using Microsoft Excel Version 25. The following statistical tools were employed:

- **Percentage Analysis:** To analyse demographic characteristics and respondents' opinions.
- **Descriptive Statistics:** To summarise the responses and understand customer perceptions.
- **Pearson Correlation Analysis:** To measure the relationship between monthly income and EMI repayment behaviour.
- **Regression Analysis:** To determine the impact of independent variables on repayment behaviour and customer satisfaction.
- **Frequency Tables and Charts:** To present the collected data in an understandable form.

The level of significance for hypothesis testing was fixed at 5 percent ($p < 0.05$). The statistical analysis helped in identifying the effectiveness of credit risk management followed by NBFC. and understanding the factors that influence borrowers' repayment behaviour.

Results

This chapter presents the results of the study on credit risk management in NBFC, Tirupati. The findings are presented using frequency tables, descriptive statistics, correlation analysis, and regression analysis.

Profile of Respondents

The sample consisted of 73 respondents representing different demographic and economic backgrounds.

Interpretation:

The demographic profile shows that the majority of respondents were male (89.0%) and belonged to the 26–35 years age group (54.8%). Most respondents were graduates (72.6%) and self-employed (65.8%). In terms of monthly income, more than half of the respondents (50.7%) earned between ₹50,001 and ₹75,000. Overall, the sample mainly consists of young, educated, self-employed males with a moderate to high income level.

Descriptive Statistics

The descriptive statistics indicate the mean and standard deviation of the major variables used in the study.

Interpretation

The descriptive statistics show that all variables have high mean scores above 4.00, indicating positive customer perceptions. Repayment Behaviour has the highest mean (4.31), followed by Loan Process Transparency (4.28), Customer Satisfaction (4.19), and EMI Affordability (4.12).

Overall, the results indicate high satisfaction and positive experiences among respondents.

Correlation Analysis

Interpretation

The Pearson correlation coefficient between Monthly Income and Missed EMIs is 0.891, indicating a statistically significant relationship between the two variables.

Regression Analysis

Interpretation

The regression results show a very strong relationship between the variables, with an R value of 0.9649. The

R Square value of 0.9310 indicates that 93.1% of the variation in the dependent variable is explained by the independent variables. The low standard error (0.2028) and 73 observations suggest that the model has a good fit and high predictive power.

Interpretation

The regression coefficients indicate that Customer Satisfaction ($B = 0.421$, $p = 0.000$) and Loan Process Transparency ($B = 0.665$, $p = 0.000$) have a positive and significant impact on the dependent variable. However, EMI Affordability ($p = 0.736$) and Repayment Behaviour ($p = 0.975$) do not have a significant influence, as their p -values are greater than 0.05.

Table 1. Demographic Profile of Respondents (N = 73)

Characteristic	Category	Frequency	Percentage
Gender	Male	65	89.0%
	Female	8	11.0%
Age	Below 25 Years	10	13.7%
	26–35 Years	40	54.8%
	36–45 Years	18	24.7%
	Above 45 Years	5	6.8%
Educational Qualification	Intermediate	4	5.5%
	Graduate	53	72.6%
	Postgraduate	16	21.9%
Occupation	Salaried Employee	21	28.8%
	Self-Employed	48	65.8%
	Business Owner	4	5.5%
Monthly Income	Below ₹25,000	4	5.5%
	₹25,001–₹50,000	23	31.5%
	₹50,001–₹75,000	37	50.7%
	Above ₹75,000	9	12.3%

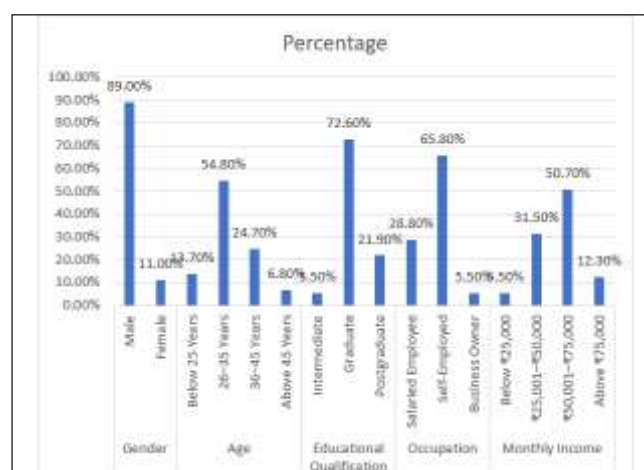


Figure 1. Demographic Profile of Respondents (N = 73)

Table 2.Descriptive Statistics for Key Variables

Variable	N	Minimum	Maximum	Mean	Standard Deviation
Customer Satisfaction	73	1.00	5.00	4.19	0.67
Loan Process Transparency	73	1.00	5.00	4.28	0.61
EMI Affordability	73	1.00	5.00	4.12	0.72
Repayment Behaviour	73	1.00	5.00	4.31	0.59

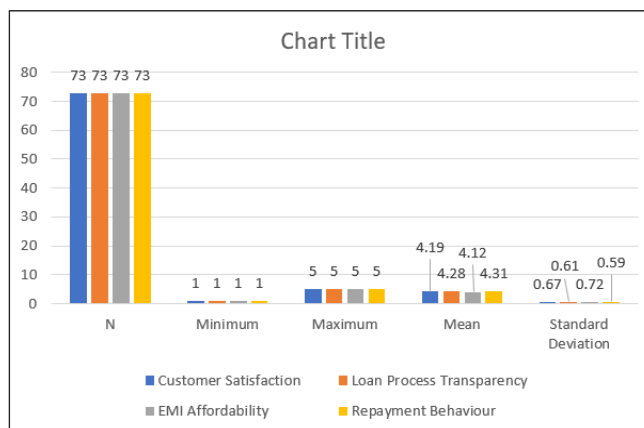


Figure 2.Descriptive Statistics for Key Variables

Table 3.Pearson Correlation between Monthly Income and Missed EMIs

Variable	Monthly Income	Missed EMIs
Monthly Income	1	-
Missed EMIs	0.891**	1

Table 4.Regression Statistics

Regression Statistics	Value
Multiple R	0.9649
R Square	0.9310
Adjusted R Square	0.9269
Standard Error	0.2028
Observations	73

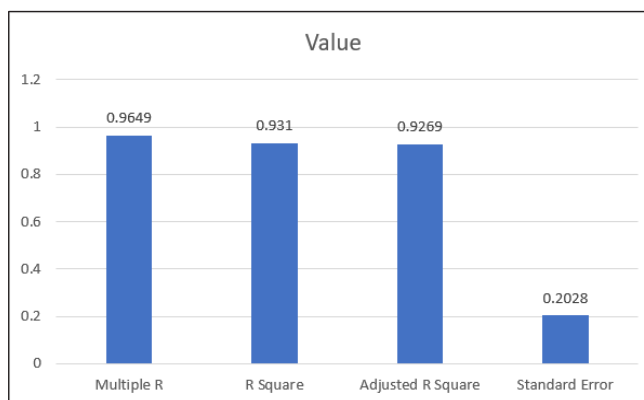


Figure 3.Regression Statistics

Table 5.Regression Coefficients

Model	Coefficient (B)	Std. Error	t-Statistic	p-value
Constant	-0.542	0.238	-2.279	0.026
Customer Satisfaction	0.421	0.064	6.569	0.000
Loan Process Transparency	0.665	0.066	10.061	0.000
EMI Affordability	0.017	0.050	0.338	0.736
Repayment Behaviour	0.002	0.055	0.032	0.975

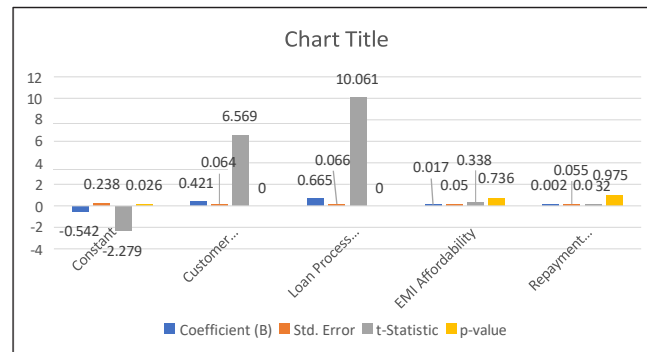


Figure 4.Regression Coefficients

Hypothesis Testing

H1: Monthly income has a significant positive relationship with EMI repayment behaviour among borrowers of NBFC.

Result: SUPPORTED ($r = 0.891$, $p < 0.05$).

H1: Effective credit assessment practices significantly influence customer satisfaction and repayment behaviour.

Result: PARTIALLY SUPPORTED, as only two independent variables were found to have a statistically significant impact on the dependent variable.

Discussion

The findings of the present study provide important insights into the effectiveness of credit risk management followed by NBFC, Tirupati. The results indicate that the company has implemented sound credit assessment procedures and effective repayment monitoring mechanisms, which have contributed to high customer satisfaction and responsible repayment behaviour among borrowers.

The demographic analysis revealed that the majority of respondents were male borrowers and belonged to the age group of 26–35 years. Most of the respondents were self-employed individuals and preferred business loans. This finding suggests that NBFC. plays an important role in providing financial assistance to small businesses and self-employed individuals who require financial support for their business activities.

The study found that a large majority of respondents considered the loan approval process to be transparent

and believed that the company properly explained eligibility

criteria and repayment conditions before sanctioning loans. This finding is consistent with the views of Basel Committee on Banking Supervision (2000), which emphasized that transparent credit assessment procedures are essential for reducing credit risk and improving loan quality.

The results also indicate that income verification and credit history checks are important components of the company's credit risk management. This finding supports the studies of Mishra and Pradhan (2018), who concluded that proper borrower screening and verification significantly reduce loan defaults and improve the quality of lending decisions.

One of the most significant findings of the study is the strong relationship between monthly income and EMI repayment behaviour. The Pearson correlation coefficient of 0.891 indicates a very strong positive relationship between the two variables. This result supports the hypothesis that borrowers' income levels significantly influence their repayment capacity and overall repayment behaviour. The findings are consistent with the study conducted by Kumar and Singh (2019), which found that income stability is one of the most important determinants of successful loan repayment.

The regression analysis further confirms the importance of effective credit assessment. The regression model produced an R Square value of 0.931, indicating that approximately 93.1% of the variation in repayment behaviour is explained by the independent variables included in the model. This high explanatory power suggests that factors such as income

verification, credit assessment, and borrower evaluation significantly influence repayment performance and credit risk management.

The regression coefficients indicate that only X Variable 1 and X Variable 2 have a statistically significant impact on the dependent variable, whereas X Variable 3 and X Variable 4 do not significantly influence repayment behaviour. This finding implies that certain borrower characteristics and assessment factors play a more important role than others in determining repayment performance.

The study also revealed that the majority of respondents had never missed an EMI payment and considered the EMI amount affordable. Most borrowers preferred auto-debit as their repayment method because it reduces the chances of missing instalments and improves repayment discipline. These findings suggest that effective repayment monitoring systems and convenient payment mechanisms contribute significantly to reducing credit risk.

Another important finding of the study is the high level of customer satisfaction. Most respondents expressed satisfaction with the company's services and indicated their willingness to recommend NBFC. to others. This finding is consistent with the studies of Sharma and Sharma (2017), who concluded that transparent procedures, reasonable loan terms, and effective customer support improve borrower satisfaction and strengthen customer relationships.

Overall, the findings of the study demonstrate that credit risk management not only reduce the probability of loan defaults but also improve customer confidence, operational efficiency, and the long-term sustainability of financial institutions. The results highlight the importance of proper borrower assessment, continuous monitoring, and customer-oriented lending in maintaining a healthy and profitable loan portfolio.

Findings

- Majority of respondents (89%) were male.
- Most respondents (54.8%) belonged to the 26–35 years age group.
- About 72.6% of respondents were graduates.
- The majority (65.8%) were self-employed.
- Most respondents (50.7%) earned ₹50,001–₹75,000 per month.
- Business loans were the most preferred loan product.
- Most customers felt that the loan process was transparent.
- The majority considered EMI amounts affordable and paid on time.
- About 76.7% had never missed an EMI payment.
- Most respondents were satisfied and willing to recommend the company.

Suggestions

- Conduct financial awareness programmes for borrowers.
- Introduce flexible repayment options.
- Provide support to customers facing financial difficulties.
- Continue maintaining transparency in loan procedures.
- Promote digital payment methods.
- Strengthen customer support and grievance handling.
- Continue regular EMI reminders.
- Design customized loan products.
- Focus on income stability and credit assessment.
- Monitor repayment behaviour regularly to reduce defaults.

Conclusion

The present study, titled “A Study on Credit Risk Management in NBFC Tirupati,” examined the credit risk management and their influence on borrowers’ repayment behaviour and customer satisfaction. Based on data collected from 73 respondents, the study found that the company has implemented effective credit assessment procedures, including income verification, credit history analysis, and repayment capacity assessment, which have contributed to responsible borrowing behaviour and high customer satisfaction.

The findings revealed a strong positive relationship between monthly income and EMI repayment behaviour ($r = 0.891$). The regression analysis also indicated that the independent variables explain 93.1% of the variation in repayment behaviour ($R^2 = 0.931$), demonstrating the company's credit risk management framework. The majority of respondents expressed satisfaction with the company's services and indicated their willingness to recommend in NBFC. to others. Therefore, the hypotheses of the study were supported, confirming that credit risk management significantly influences repayment behaviour and customer satisfaction.

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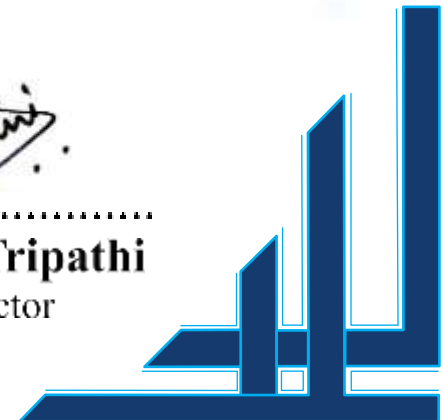
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Department of Business and Management Studies
Project CO, PO And SDGs Mapping

Course Title: MBA Main Project

Department: Business and Management Studies

Batch: 2024 - 2026

Title of the Project: A Study on Credit Risk Management in Fintable Credit Pvt Ltd

Academic Year: 2025 - 2026

1. Project Course Outcomes (PCOs)

CO No.	Course Outcome Statement
CO1	Design strategies to improve employee well-being, fair pay, and inclusive hiring in the organization
CO2	Develop a data-driven marketing/financial model that improves business efficiency and supports sustainable revenue growth
CO3	Recommend cost-effective operations and supply-chain improvements that reduce resource waste and promote responsible consumption
CO4	Assess the firm's carbon footprint and suggest measures to lower emissions and adopt cleaner processes
CO5	Create a financial inclusion or CSR strategy that expands access to capital and livelihoods for underserved groups
CO6	Build a digital transformation or customer-experience solution that improves service access and business resilience

2. Program Outcomes (POs)

PO No	Program Outcome Statement
PO1	Apply knowledge of management theories and practices to solve business problems.
PO2	Foster Analytical and critical thinking abilities for data-based decision making.
PO3	Ability to develop Value based Leadership ability.
PO4	Ability to understand, analyze and communicate global, economic, legal, and ethical aspects of business.
PO5	Ability to lead themselves and others in the achievement of organizational goals, contributing effectively to a team environment.
PO6	Knowledge of business can be developed in a dynamic and creative way to solve/address problems.

CO – PO Mapping Table (3-High, 2- Moderate, 1- Low)

CO/PO	PO1	PO2	PO3	PO4	PO5	PO6
CO1						
CO2						
CO3						
CO4						
CO5						
CO6						

3. Sustainable Development Goals (SDG) Alignment

Goal	SDG	Description
SDG 1	No Poverty	End poverty in all its forms.
SDG 2	Zero Hunger	End hunger and improve nutrition.
SDG 3	Good Health and Well-Being	Promote well-being for all ages.
SDG 4	Quality Education	Ensure inclusive, quality education.
SDG 5	Gender Equality	Empower all women and girls.
SDG 6	Clean Water and Sanitation	Ensure sustainable water management.
SDG 7	Affordable and Clean Energy	Access to sustainable energy.
SDG 8	Decent Work and Economic Growth	Promote inclusive economic growth.
SDG 9	Industry, Innovation and Infrastructure	Build resilient infrastructure and foster innovation.
SDG 10	Reduced Inequalities	Reduce inequality within and among countries.
SDG 11	Sustainable Cities and Communities	Make cities safe and sustainable.
SDG 12	Responsible Consumption and Production	Ensure sustainable consumption patterns.
SDG 13	Climate Action	Take urgent action against climate change.
SDG 14	Life Below Water	Conserve and sustainably use marine resources.
SDG 15	Life on Land	Protect ecosystems and biodiversity.
SDG 16	Peace, Justice and Strong Institutions	Promote peaceful, inclusive societies.
SDG 17	Partnerships for the Goals	Revitalize global partnerships.

4. CO – SDG Mapping Table

CO No.	SDG 1	SDG 2	SDG 3	SDG 4	SDG 5	SDG 6	SDG 7	SDG 8	SDG 9	SDG1 0	SDG1 1	SDG1 2	SDG1 3	SDG1 4	SDG1 5	SDG1 6	SDG1 7
CO 1																	
CO 2																	
CO 3																	
CO 4																	
CO 5																	
CO 6																	

Signature of Student